

HOW TO TRADE

the
Highest Probability
Opportunities:

PRICE BARS AND CHART PATTERNS

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How To Trade the Highest Probability Opportunities: Price Bars and Chart Patterns

By Jeffrey Kennedy, Elliott Wave International

Chapter 1 – Trend Analysis

Review how to recognize uptrends, downtrends and neutral trends on a price chart.

Chapter 2 – Key Levels in Trend

Learn how to find key levels *within* a trend that you can use to monitor changes in trend.

Chapter 3 – Support and Resistance Analysis

Get tips on how to use support levels and resistance levels for your trading.

Chapter 4 – Single- and Multiple-Bar Price Analysis

Learn how to analyze price bars on stock charts.

Chapter 5 – How to Apply the Analysis to Price Charts

Put all these techniques together and find out how to apply them to reading a price chart.

Chapter 6 – Questions and Answers

Get some extra information from this question-and-answer session with Jeffrey Kennedy.

Introduction:

My name is Jeffrey Kennedy, and I'm the editor of *Futures Junctions*, Elliott Wave International's premier commodities forecasting service. In this course, I will teach you how to read many types of price charts, what to look for when examining price charts, and how to identify important trading opportunities.

Editor's note: This webinar was originally presented live on October 22, 2008.

At the outset, I'd like to share with you a quick story to put this course material in the proper context. A few weeks ago, a friend of mine who wants to get a new dog showed me photos of various dogs on the computer. Occasionally, I would say, "Wow, that's a pretty puppy," or "That's a good-looking dog." She would reply, "No, it's not." I couldn't understand why. Then she explained that the back line of the ridge wasn't sloping correctly, or that the dog stood with its toes pointed out, or that its nose was too small in relation to its head. Obviously, she knows dogs extremely well, whereas I don't understand exactly what to look for when picking a pedigreed animal.

Price charts are similar. Most people simply don't know what to look for when they review a price chart. This course will walk you through a number of price charts and show you different things to look for in an attempt to identify high-probability trading opportunities. By the end of this course, you will understand how to identify trading opportunities simply by being able to use your newfound charting skills.

This course will be technical analysis in its purest form: simple, basic chart-reading. No Elliott wave analysis is involved. No technical indicators are involved. No studies. No trend lines.

Here are the five steps I will walk you through: (1) basic trend analysis, (2) key levels, (3) support and resistance analysis, (4) single- and multiple-bar price analysis, and, finally, (5) how to apply this analysis to charts.

Chapter 1

Trend Analysis

When examining a price chart, it's simple to spot an uptrend, as shown in Figure 1-1. It is simply a series of higher highs and higher lows.

Figure 1-1

The best way to identify a trend is to look for the overall swings from one direction to another — what I call the swing highs and the swing lows. A series of higher highs and higher lows means that the market is trending up.

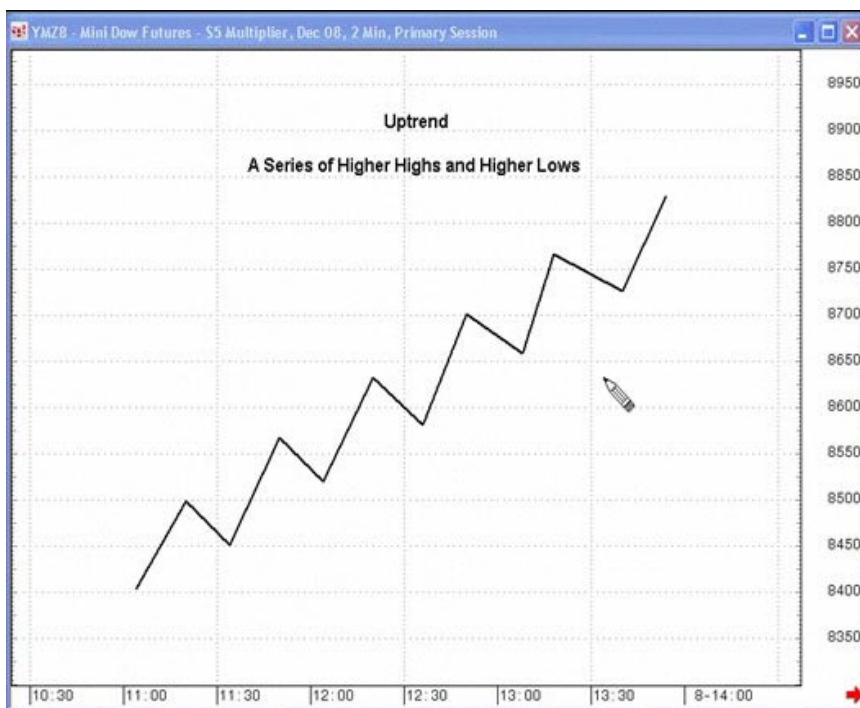


Figure 1-2

Conversely, if you have a series of lower highs and lower lows, the trend is down (as shown in Figure 1-2).

It may seem almost too basic to describe what an uptrend and a downtrend look like on a price chart. But you would be surprised at the number of emails I get regarding trend: “What’s the trend in soybeans?” “What’s the trend in Microsoft?” All you have to do is look at a price chart and remember that an uptrend is a series of higher highs and higher lows, and that a downtrend is a series of lower highs and lower lows.



Figure 1-3

Here is a neutral trend, in which price action moves sideways. You will usually find that in a neutral-trending market, previous highs provide resistance while previous lows provide support. Take a look at Figure 1-3. A previous high is drawn along the top of the chart in blue. That high now provides resistance for the market. Previous lows will often provide support, as seen at the bottom of the chart.

That's it for trends. There are only three types of trend in any given market. They are the uptrend, the downtrend, and a neutral trend. Now, as a trader, I like to trade in the direction of the trend, up or down. It's good to have the wind at your back. That's why chart-reading skills are so important — to help you identify a strong trend up or down, because a neutral market can really beat up a trader.



Figure 1-4

Figure 1-4 is an example of a two-minute price chart of the mini Dow futures. The extremes that I've marked show a downtrend. It's a series of lower lows and lower highs.



Figure 1-5

Same chart, but this time I've marked the subsequent uptrend, which is a series of higher highs and higher lows.



Figure 1-6

Same chart again showing one day of trading, but, stepping back, now you can see that the extreme lows of the day are essentially on the same level. The same is true for the extreme highs. Basically, all the chart has done is bounce from a support level and then bounce back up to a resistance level.

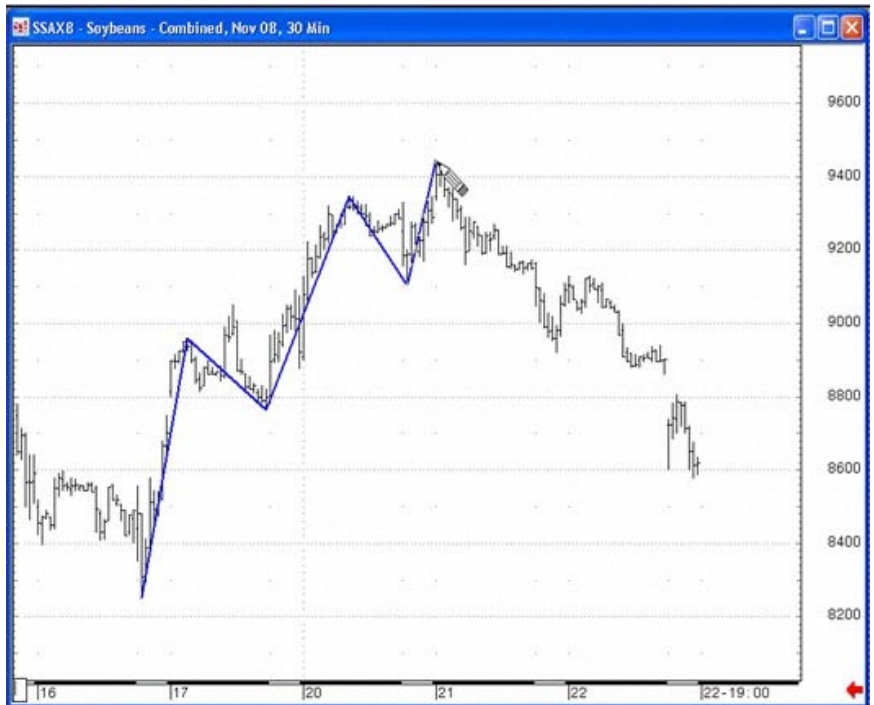
On this single two-minute price chart, you have multiple degrees of trend. You have a small downtrend and a small uptrend, but, in perspective, it's actually a sideways market. In essence, trend is a function of time, and that's important to know.



Figure 1-7

On this Soybeans price chart, we can see the uptrend that I have marked in blue. The best way to identify these swing highs and swing lows is to simply look for sizeable moves. Don't waste your time trying to identify the trend for every price move. Also, since trend is a function of time, it's critical to identify the time frame you want to follow, because that will determine what type of price charts you look at. If you're an investor, your time frame will be much longer than a five-minute price chart or a 30-minute price chart, which many day traders use.

What else do you notice about this chart? Overall, most of it has simply gone sideways in price. Price has pushed above and below \$9.00 a bushel. So, in the short term, there has been no trend in this market. But, again, trend is a function of time, which makes it important to pick the time frame that suits your trading or investing style.

**Figure 1-8**

On this daily chart of Soybeans, the trend has been clearly down following the peak in July. The reason the overall trend is so important is that it will provide you with opportunities to rejoin the trend. Notice these countertrend moves within the previous move up (marked with blue "V"s on the chart). These are important trading opportunities.

Once you realize that trend is a function of time and know what uptrends and downtrends look like, you can then begin to identify which direction your trade should be placed. If the trend is up, the long side needs to be played. If the trend is down, then, of course, the short side needs to be played.



Chapter 2

Key Levels in Trend

The next topic is *what are the key levels to look for within a trend when reading a price chart?* I usually look at only two levels, which are called “critical” and “key.”

Figure 2-1

To find these levels in an uptrend, start at the extreme on the price chart and look for the previous extreme level and then the level before that. In other words, go back two swings. The first swing is “key,” (marked with a red “1”), and the second swing is “critical” (marked with a red “2”) and both indicate support levels as seen by the horizontal blue lines that I’ve drawn.

The first swing is important because, if prices come back down and take out the first swing (or the key support level), it’s usually an early warning sign that something is not right, or that the larger trend is hesitating. When that occurs, you should start thinking about protecting open profits or raising or lowering your stops.

Now, prices might also take out the prior swing low (the critical support level). Usually, a price move that goes that far indicates the beginning of a new trend.



Figure 2-2

In a downtrend, it’s the same thing. Look at the previous two swings. The first level is called key resistance. The second one is called critical resistance. A move above key resistance usually indicates that the move is pausing or that the move is coming to completion. Once prices move above the critical resistance level, that usually means that the move is complete.



Now, from an Elliott perspective, you could argue that the move up is a correction, and that if prices take out the critical level, that would signal the completion of an impulse wave. But I'm not discussing trend lines or technical studies or Elliott wave analysis in this course. Instead, we're going back to the basics about how to read a price chart.

Figure 2-3

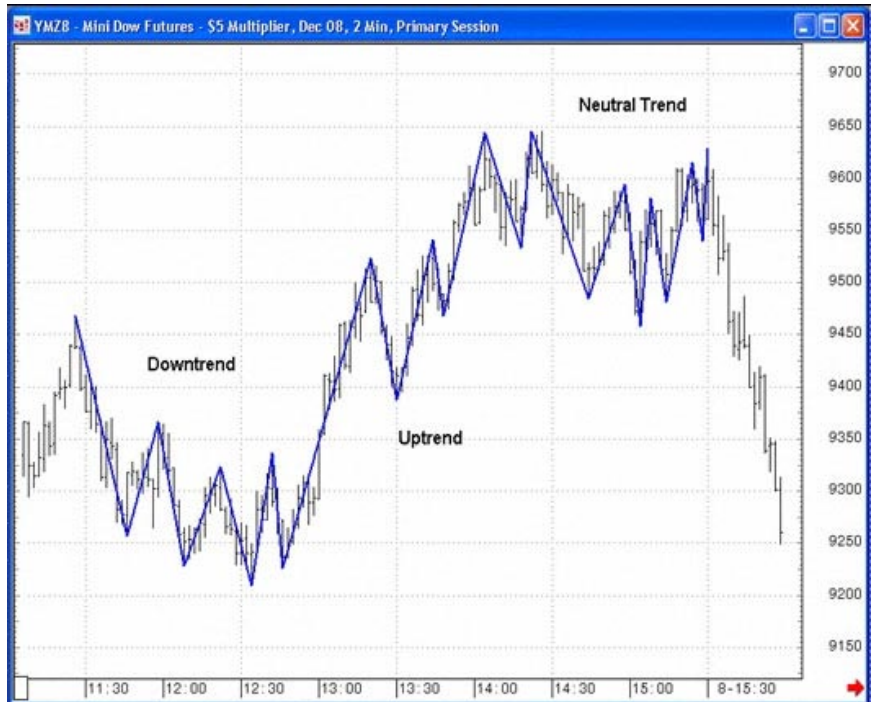
Here's the same mini Dow futures price chart that I showed earlier, which now has the different swings within the trend marked in blue. This move on the left side of the chart is a downtrend. Then, a series of higher highs and higher lows develop, which signals that we have an uptrend. The next portion is a neutral trend, because the market is moving sideways.

There's not enough information here to tell us what the overall trend for this market is. However, the downtrend is a positive environment for bears (sellers), the uptrend is a positive trading environment for bulls (buyers), and the neutral trend is not a good time at all to be in the market.

What a lot of people forget is that there are three types of trading: You can be a buyer, you can be a seller, or you can take no position at all. Sometimes taking no position at all is actually the most profitable position you can take, particularly if you're caught in a neutral trend.

Figure 2-4

In Figure 2-4, I have marked the critical and key levels in each uptrend and downtrend. The key resistance (marked with a red number "1") served its function, as the next wave pushed just a little bit above it, which is an early indication that something may be changing. That move could have told us that the downtrend we were seeing might be getting ready



to turn. And, in fact, the next price move did break through the critical resistance level as the trend changed from down to up.

The same thing happened again once the uptrend was exhausted. Once prices fell below the key level, we got an early warning that the market was moving from an uptrend to a neutral phase. Prices pushed up and then came back down.

Some people may consider trend and key levels to be rudimentary. But they are important basic concepts, and you might be surprised to learn that many people don't grasp them. Let's look at a few more price charts to be sure you get the hang of it.

Figure 2-5

Here is a chart of a company called T3 Energy Services, showing an advance from the March low with higher highs and higher lows. The downtrend on the right side of the chart is a series of lower lows and lower highs. The short horizontal lines on the uptrend show that the swing lows are staying above the previous and prior swing lows. Once the swing lows go below the second swing, or the critical level, prices will change trend. The top horizontal blue line marks the key level, and the line below that marks the critical level. Once prices took out the secondary swing, the critical level, you can see that there was a major change in trend.



Figure 2-6

This is a price chart of a company called Forrester Research. On the left side of the chart, you can clearly see the uptrend. As prices advance, you want to continually monitor the low swings, because they're so important in terms of tipping you off to a trend change. This chart shows clearly how watching the swing level pays off. The number one point (marked with a red "1") is the key level. The number two point (marked with a red "2") is the critical level. Again, a break of your key level, or the prior swing, is an indication that something is afoot. It's



a warning sign. When prices penetrate the second level, or the critical level, that indicates a significant change in trend. Either the market is moving into a neutral phase, or the market is moving into an opposite phase. On this occasion, the chart went straight into a sharp downtrend.

Figure 2-7

We use the same technique to monitor downtrends. So let's look at a stock that some people may be familiar with — it's Apple. Here in Figure 2-7 you see the swings marked again with short horizontal lines. As you can see on the chart, prices penetrated the key resistance, signifying a change (marked by the lowest blue line), and once the prices broke the critical resistance (marked by the second lowest blue line), prices moved up in a strong uptrend.

This chart actually shows a number of different trends in effect, which depend on time frame. However, if your perspective is long term, you can see that, basically, this market has been in a neutral trend for almost 12 months, because it has moved sideways in a wide range between the 200 level and the 120 level.



Summary

Once a price move takes out the key level in an uptrend, that's the warning sign that something is afoot. Then, as a trader, your appropriate actions would be to lock in profits, protect open profits or even raise your stops. That's because once the next critical level is penetrated, it can lead to a sizeable or quick sell off. The same applies to downtrends: Once prices penetrate the critical level, it signals the development of a new uptrend.

Chapter 3

Support and Resistance Analysis

Being able to spot a trend is the first step in reading a price chart. The next step is to look for previous highs and lows that provide areas of support and resistance as the minutes, hours, days, months and years go by. Let's look at a few charts to see some basic examples of support and resistance analysis.

Figure 3-1

Here's the two-minute mini Dow Futures chart that we have been working with. I've marked the early morning low with a blue circle on the far left of the chart. As you can see, that low acted as support throughout the morning trading. Then, after prices formed a triple bottom, they pushed higher.

Similarly, the early high of the day (marked with a blue circle on the top of the chart) acted as resistance as the trading day wore on. In this chart, prices didn't push through the resistance, but they did come near to doing it. When prices are near an extreme — say within just a few percentage points either above or below — I still count the support or resistance level as having served its purpose, because prices rarely reach the specific extreme. For another example,

notice that at the end of the day, prices fell slightly below the support level established during the triple bottom and then gapped up at the open the next morning. That's still a good example of a support level working.

A previous high or previous low becomes more significant the longer that it exists. If it has lasted for a few hours, it has a little bit of importance. If it has been in place for three or four months, it is much more significant.

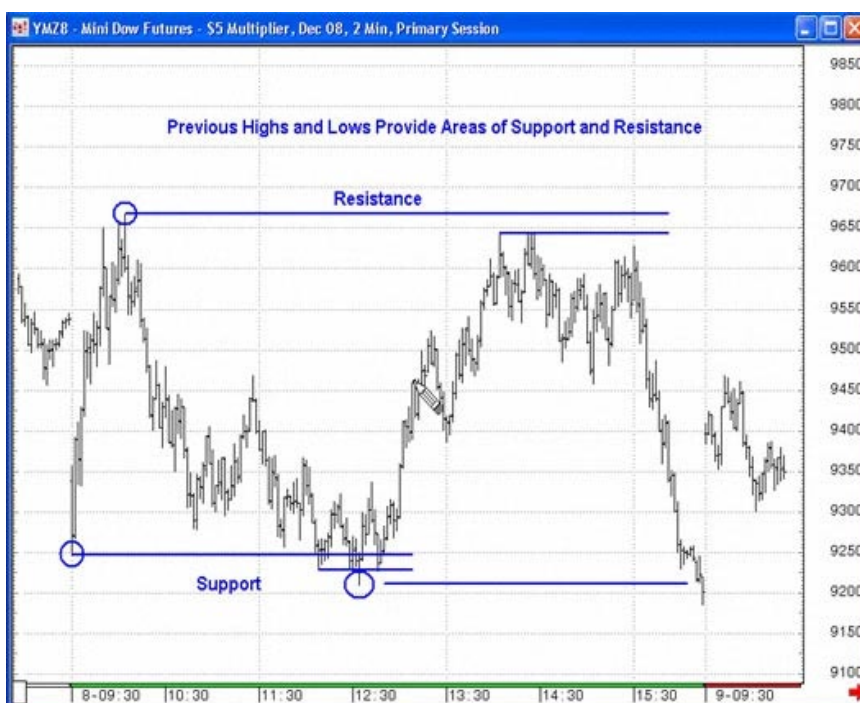


Figure 3-2

Previous periods of congestion also can become useful levels for support and resistance. As is evident in Figure 3-2, prices can move, stall, and then reset to their beginning price, which is what I mean by “congestion.” On the left-hand side of the chart, the circled congested area between 9400 and 9450 later becomes resistance at 9450+ (see the black arrow). As another example, the area I have marked with a blue circle and two horizontal blue lines in the center of the chart shows where prices got to about 9500, then stalled and came back down to about the 9400 area. This up-and-down movement takes time, as opposed to a straight-line move. Further on in the chart, prices pushed higher to 9650 and then began to peel off from that top and found support in the same area of the previous congestion, around 9450. Once they found that support, prices moved back up again to above 9600.



Here's one thing that's important to remember: What was once support oftentimes becomes resistance and vice versa. In this instance of the up-and-down moves marked by the diagonal blue lines, a period of congestion first provided support for the move to the downside. But then, farther to the right side of this chart, that same 9450 level of original support provided resistance for the subsequent bounce back up.

Price Gaps Lend Support and Resistance

Price gaps deserve a section of their own, as they supply strong support and resistance on price charts. First we need to define price gaps. A price gap occurs when the current session's trading range does not include the prior session's trading range. The result is usually a small horizontal space between the two price bars.

[Editor's note: Jeffrey Kennedy explains price gaps in much more detail in his price gaps webinar, available for purchase online at www.elliottwave.com.]

Figure 3-3

There are different kinds of price gaps. A hard gap occurs when there's an actual visual horizontal space between the low of one bar and the high of the previous bar. The close of the bar preceding the gap is important, because it now becomes a psychological marker for that specific financial instrument.

A soft gap occurs when the low of the current bar is above the close of the prior bar. It doesn't have the horizontal space between the low of the current bar and the high of the previous bar. They may be harder to see than hard gaps, but they occur more often, so it's important to be aware of them.

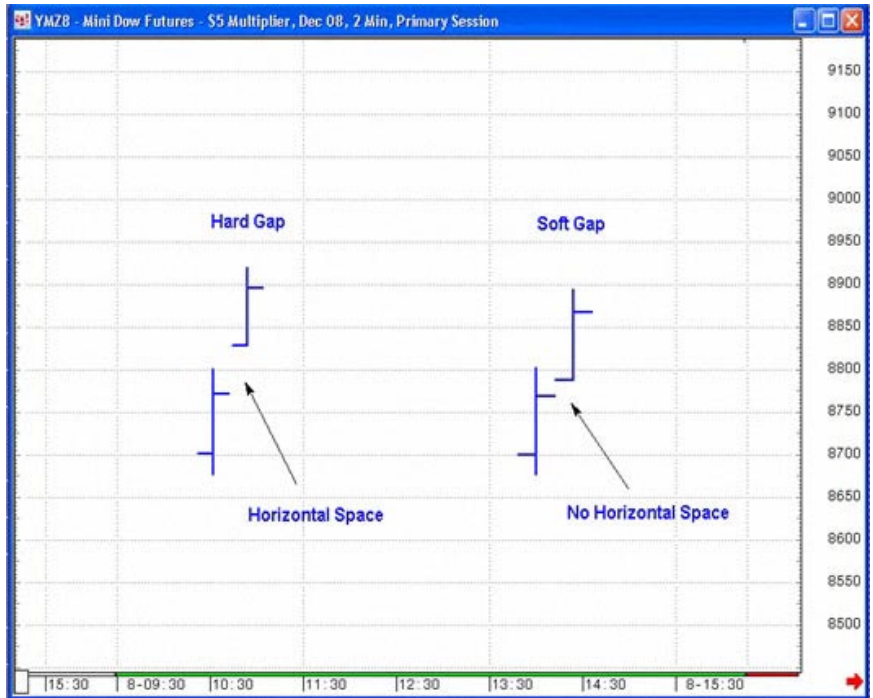


Figure 3-4

In this chart of mini Dow futures, I've written a small program that highlights the soft gaps in green and red arrows. On an average daily basis, hard gaps are rare, but there are a number of soft gaps that occur. Prices are often attracted to the area of previous soft gaps when the trend changes direction. Sometimes the soft gaps provide a barrier of resistance, so that prices cannot penetrate the previous soft gap. This kind of resistance can be seen with the first red arrow on the left side of the chart. The horizontal blue line across the top of the chart shows that the original soft gap acted as resistance for prices later on.



Summing Up

Those three items then — previous highs and lows, areas of congestion, and soft and hard gaps — are the primary items to look for when identifying support and resistance for a market. It's important to understand support and resistance when reading a chart, because they provide reaction points on a price chart. For example, if a market is trending to the upside and decides to pause, its next move will most likely be a countertrend move. Odds are that the countertrend move will terminate at a prior support level. Once the trend continues higher, and it gets tired and is looking to top, odds are that it will top at a prior resistance level. Support can become resistance, which can then become support again in a rhythm of its own making.

Figure 3-5

Here is an example from the same Apple chart. You can immediately see the horizontal space on the left side of the chart, which is your classic hard price gap. You can also see periods of congestion, which are circled.

Once a market tops, it is fairly common for prices to come back into the same area as a hard gap, which I have marked with the longest horizontal blue bar that starts at the hard gap.

Trend analysis tells us that the key and critical levels, which are the previous swing and the one prior to that, are also important. Those two swings are marked with horizontal blue lines at the top of the chart. As you can see, the move to the upside in August could not penetrate the barrier of resistance at the critical level

of around \$180. Resistance was also provided by a period of consolidation in the market between \$170 and \$180 in January, marked with a blue circle on the left side of the chart. This trend analysis shows that the area between \$180 and \$170 is almost a natural area of resistance for Apple. It's not surprising that prices pushed up to this area and then began to turn down in this time frame.



Figure 3-6

There are some good examples of support and resistance on this chart of Cocoa in Figure 3-6. Initially, there was a significant previous high (marked by a small blue circle on the left side of the chart) that provided resistance for prices after the top. The lesson to learn here is that even when prices break through a high, that area of resistance can still play a role. Even more importantly, it's best to think of the area of resistance as a range rather than expecting prices to turn on a dime. In this case, you can see that, after the top, prices broke above the earlier circled high but that it still provided some kind of resistance. Prices don't have to go precisely to the point and immediately reverse for the supplier of resistance (or support) to be significant. That's not always the case. Oftentimes, what you'll see are these false pushes, first attempts and second attempts.



Now, let's look at the area of consolidation in the market (marked by the large blue circle) where prices stalled in April and May. Notice that prices stalled in the same area again later in August.

Figure 3-7

Here's a good example of support and resistance levels in Sugar where we can begin to combine steps that we have already learned. As for trend identification, your eye tells you that the trend was up through February, then down into June and back up again into September. But if you look at the chart with a practiced eye, you can see that from January 2008 up until September 2008, prices simply went back and forth between prior highs and prior lows (as shown by the blue horizontal line). This part of the chart, then, is a neutral trend. If you're a long-term investor, this area is not where you want to trade.



Figure 3-8

But as a short-term investor who wants to capture a move that may last a week or more, this area is a good one to trade. In real time, it offered some nice opportunities. The support and resistance levels can be seen throughout this chart. They are marked with blue lines. The blue lines at the top of the chart mark resistance, while the lines at the bottom of the chart mark support.

Notice the first blue horizontal line I've drawn at the left-hand side of the chart — it marks a previous low and shows how that previous low provided support as prices came down in March, tested the previous low, pushed below it quickly, and then reversed. The reversal led to a sizeable move up.



Next at the top of the chart are examples of resistance in July, August and September of a previous high I've marked in March. Again, rather than looking for an absolutely perfect match of the previous high or low tick, it's best to look for prices to simply get near that level. Prices pushed up to near the previous high and then reversed and pushed back up again. We can say that the market reacted off of this high. So we've got a barrier, or what I call natural resistance, forming in the Sugar market. It's common to see prices turn down after testing these new extremes and, more importantly, prior highs and prior lows.

Sometimes my price charts actually look like a Christmas tree with bright lights, because I use so many multi-colored bars and other indicators, studies, moving averages, and trendlines. But at the end of the day, I always go back to a simple, open-high-low-close price chart. That's because it can yield so much information about the market that you might miss by focusing your attention elsewhere, perhaps on a study or a trendline or even a wave count.

Figure 3-9

Here is another good example of prices coming down to test a previous low in Soybeans. There was a period of consolidation or congestion in the market between May and June, and prices pushed up and stalled right there — very simple.

Within the trend to the upside, I have marked the key level and the critical level. As you can see, once that level gave way, it was indeed key and critical, because prices at that point were still trading at \$13.00 a bushel. Look where they ended up trading up to this point.



Figure 3-10

Let's take a look at the stock chart of T-3 Energy Services I showed you earlier that has the clear uptrend and downtrend with previous swings providing support and resistance. What stands out in this chart is that the period of congestion or consolidation marked with a blue circle on the left side of the chart at the 55 level provided support later on when prices came back and consolidated at that level again (marked with a second blue circle on the right side of the chart).

There are also two significant swing lows in January and March that provide support (marked with the two blue lines on the lower section of the chart). Later in September, the market came down, reacted off the key support, and then turned up.



Figure 3-11

Finally, here's a good example of how previous lows provided a significant shelf of support in Coffee for a very long time. (The blue lines along the bottom half of the chart mark the support.) Once that support from previous lows gave way, it did it in a big way, turning to a big downtrend.

The significant reversal at about 160 in the middle of the chart occurred at the level of a previous price gap as shown by the top horizontal blue line. Note that besides the price gap, there was also a period of consolidation (circled) that also provided resistance later when the reversal occurred in July.



Summary

All these areas we are learning about — previous highs and lows, areas of consolidation, price gaps, swings, key and critical levels — are what to look for in your price charts. You don't have to be a master technician, and you certainly don't need years of experience to read price charts.

By learning to read a price chart, you are basically going back in time and learning a skill that was lost. Originally, people learned to read ticker tapes, then how to read price charts and, after that, came computerized technical analysis with moving averages and all the bells and whistles like relative strength indexes (RSIs). But pure chart-reading is almost a lost art. The next step that you will learn — single- and multiple-bar analysis — will refine this technique and make it more surgical by actually interpreting how individual price bars form.

Basically, your focus is on price action and listening to the story that price action tells us. The key is to know what to listen for. There's a lot of information contained in a price chart, even though some people might say, "Hey, I can't make heads or tails of this chart. I need to see the weekly, the daily, the monthly to put it in context." Or "I need to put an indicator on the price chart to really get an idea of what's going on."

With these skills, you won't need any fancy techniques — not even trendlines, which are my favorite technique. All you need to know is where to look. What's the trend? Is the trend up? Is the trend down? If the trend is up, where are some likely areas of support and resistance? If the trend is down, where are some likely areas of support and resistance? If prices are moving sideways in a neutral trend, remind yourself to do nothing. All you need to know is how to read the price charts.

Chapter 4

Single- and Multiple-Bar Price Analysis

Our next topic gets into the basic parts of every price chart — the price bars themselves. For this section on single- and multiple-bar price analysis, we will focus on price bars that include the open for the period (whether it be one minute, one hour, one day, one month or one year), the high of the period, the close and the low. Charts that use this kind of bar to display prices are called open-high-low-close price charts. You may also see the abbreviation, OHLC.

Some people prefer to use close-only price charts, which appear as a single line, but I started off using the open-high-low-close price charts, and I still use them today, because I believe that they provide you with all the information you need. (Candlestick price charts also provide a large amount of information, but we will stick with just one kind of price chart for this course.)

Figure 4-1

This figure displays your basic price bar. On the left of the vertical bar, there's a small dash, which marks the opening price. The top of the vertical bar marks the highest price for the period; the bottom of the vertical bar marks the lowest price. The dash on the right marks the closing price.

Many people who look at a single bar simply see vertical and horizontal lines without realizing how much information they display about the tug of war between bullish buyers and bearish sellers. By understanding the relationships among these four elements — the open, the high, the close and the low — you will know a lot about the market, specifically, who is in control of that market.

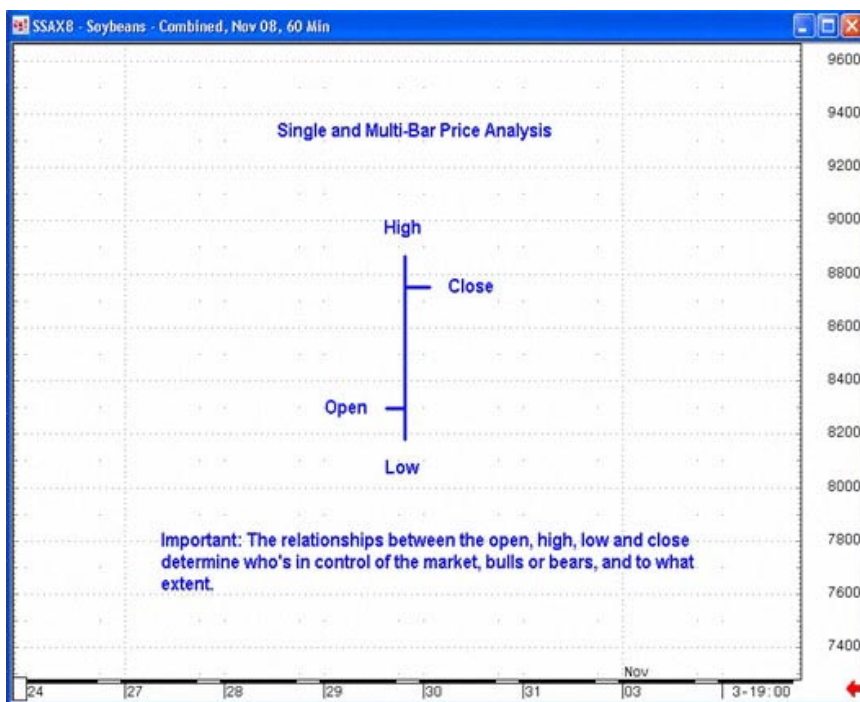
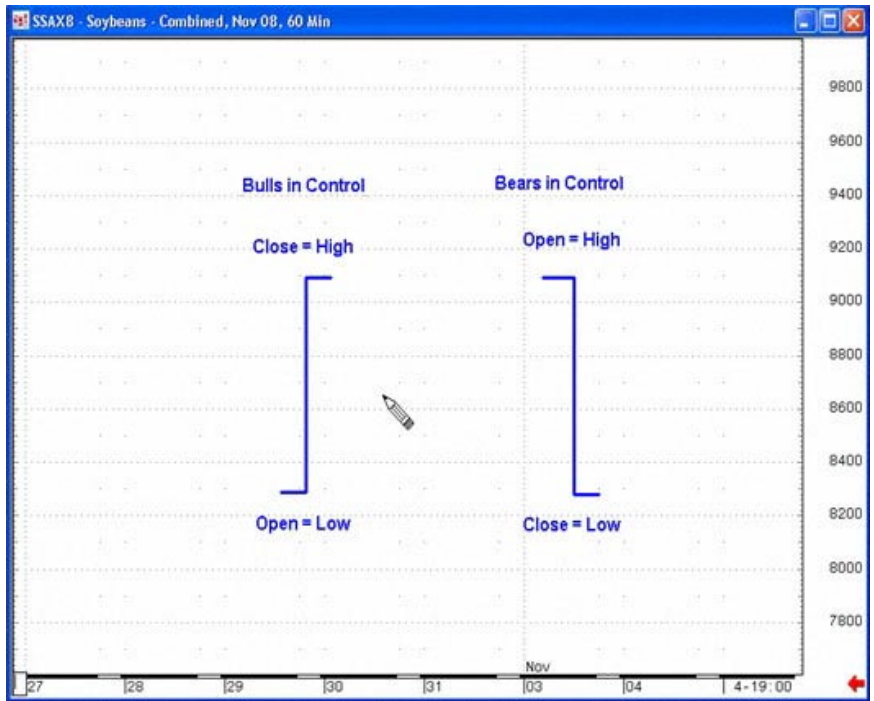


Figure 4-2

Here's a picture of two different price bars that we will consider to be daily price bars. What story does the single price bar on the left tell you? Prices opened that day at the lowest price and closed at the highest price, which means that the buyers, or bulls, are in total control of the market. The bears have no power whatsoever, and, because the market closed so high, odds are that the price will continue up the next day. As I said, one price bar can give you tons of information about a financial market.

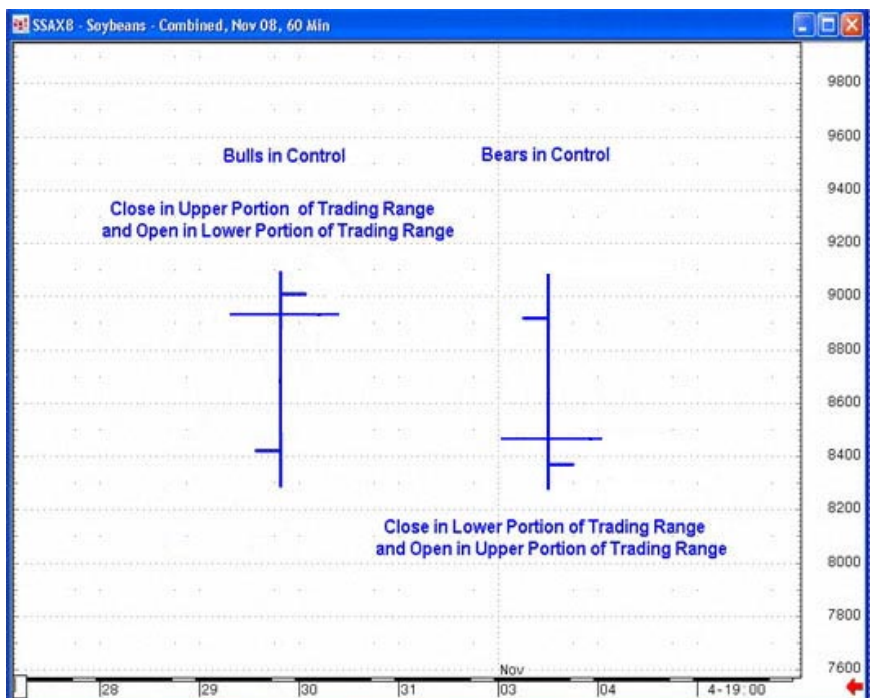
Now, look at the price bar on the right. It tells you a similar story in the opposite direction. Once the market opened, it got slammed to the down side. It stayed down hard all day and closed on the lows. A market like this is dominated by the bears, the sellers, and odds favor further decline the following day. It means that the bulls, or the buyers, have no control in this market.

Although these kinds of price bars are fairly rare, they may open your eyes to how much information a single price bar can contain, especially if you know how to interpret it.

**Figure 4-3**

These two price bars are more like what you will encounter every day. The price bar on the left side shows that the bears, or the sellers, opened the market up and pushed it down a little bit. In a sense, they had some control, but not much. Then the buyers, or the bulls, took control of this market so that it closed above the open. This type of price bar shows up in an uptrending market.

Conversely, the price bar on the right often shows up in downtrending markets. It signifies that the bears control the market. You could say that the buyers gave it a feeble attempt early on, but by the close, the sellers had taken over. Closes don't lie, and they are the most important item on the price chart.



It is also important to examine the range of a bar, because if markets close in the lower 20% or 10% of a price bar, that means that the bears or the sellers have good control of that market. Odds are that this market will drop lower the next trading session. Conversely, if the markets close in the upper 20 percent, then the buyers, or the bulls, have good control of the market. Odds are that this market will push higher the following day.

There's no crystal ball in this kind of work. There is skill involved, but mostly it has to do with simply evaluating odds and evaluating probabilities. For instance, looking at the price bar on the left, my bet is that there will be a new high above the close. So, I just made a forecast: I'm looking for higher prices. And what did I use? I used a single price bar.

That's how important this work can be. If you learn how to read a price chart, you can actually create a forecast by looking at the facts. This kind of forecast isn't simply based on a good idea or a hunch. It isn't merely a hypothesis. It's based on facts that a simple price bar can show you. From those facts, you can pull out a probability that will allow you to make a confident forecast.

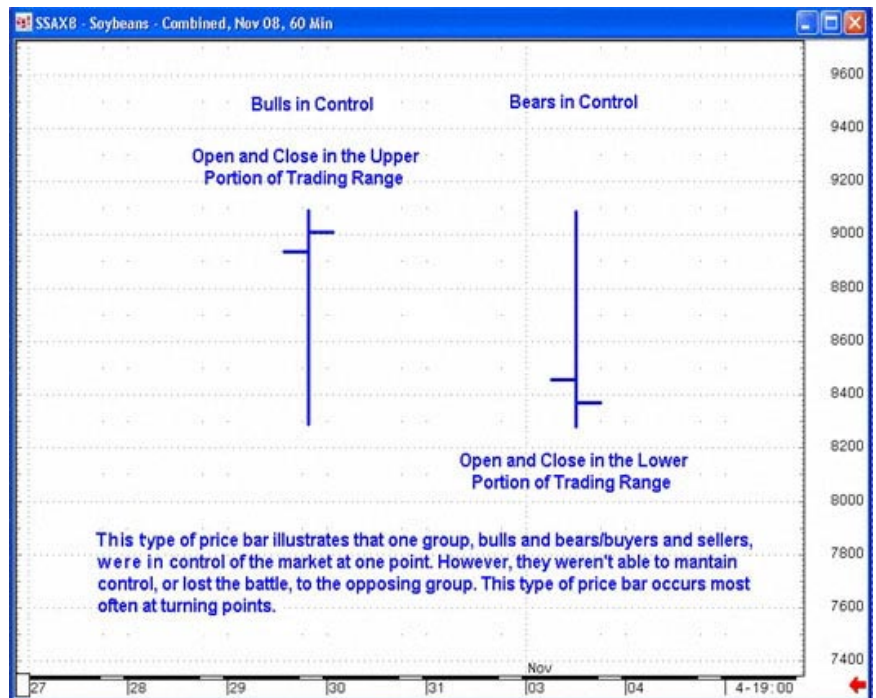
The same thing is true for the price bar on the right, which makes me favor the downside for the next trading session, because the market closed in the lower 20 percent of the range. Is it an absolute certainty that the market will go lower? Of course not. *There are no absolutes with regard to trading or analysis.* And certainly no absolutes with regard to the markets. But because sellers have a fairly tight grip on this market at the end of the day, according to the price bar, odds favor further decline the next day.

Figure 4-4

Here are some other types of opens and closes on price bars that you will tend to see. These types of price bars, which are called “doji” (pronounced doe-gee) or “spinning tops,” are both reliable and valuable. They are valuable because each price bar tells a story. The price bar on the left of the chart tells us it favored the bulls.

During the day, you can see that the bears, or sellers, were in control of this market and took the price down. But some time during the day, they lost the battle, because the bulls, or buyers, were able to take control away from the bears and run the market back up.

Notice that the open and close of this bar are both in the upper portion of that bar's range. My bet for tomorrow is that the market will push higher.



It works the same way on the right side of the chart. The open and the close are both in the lower portion of the range, very near to each other. The market did spike up at one point during the day when it was dominated by the buyers, but they lost the battle. So what happened? The sellers took control, and the market closed at the low. Based on the information in this price bar, I would predict lower prices for tomorrow.

Suppose that this price bar on the right did not represent a single day, but rather a week or a month? If you see a monthly price bar where the open and close is in a very small range at the bottom of the price bar's total range, what do you think is likely to occur in the following month's price bar? Lower prices.

For example, suppose this price bar on the right were October's price bar for XYZ stock. That would suggest that prices will move lower in November. How could you use that information to your advantage? One thing to do would be to scale down to intra-day or daily price charts and try to find some trading opportunities on these shorter time frames. My main message here is that single-bar price analysis is important because it can give you good information about a market.

Figure 4-5

Here's a type of price bar that says that neither the bulls nor the bears have any conviction. It represents indecision, since neither group is in control. In both price bars, the open and close are very near one another, but, more importantly, they are centered around the midpoint of that day's range. These types of price bars are common prior to a big move in price or a news event. You will also see them on an intra-day level.

Say for example that in the first few hours of the trading day, the market trades up and down. And let's say that Fed Chairman Ben Bernanke is scheduled to speak and that there might be news on an interest rate cut. So what happens during the day? The market comes back to that midrange, because traders aren't sure what the news will be. Then whatever they were waiting for is revealed, and the market closes up with the bulls in control -- but not by much. This type of a price bar, with the open and close centered around the midpoint, represents a point of indecision.

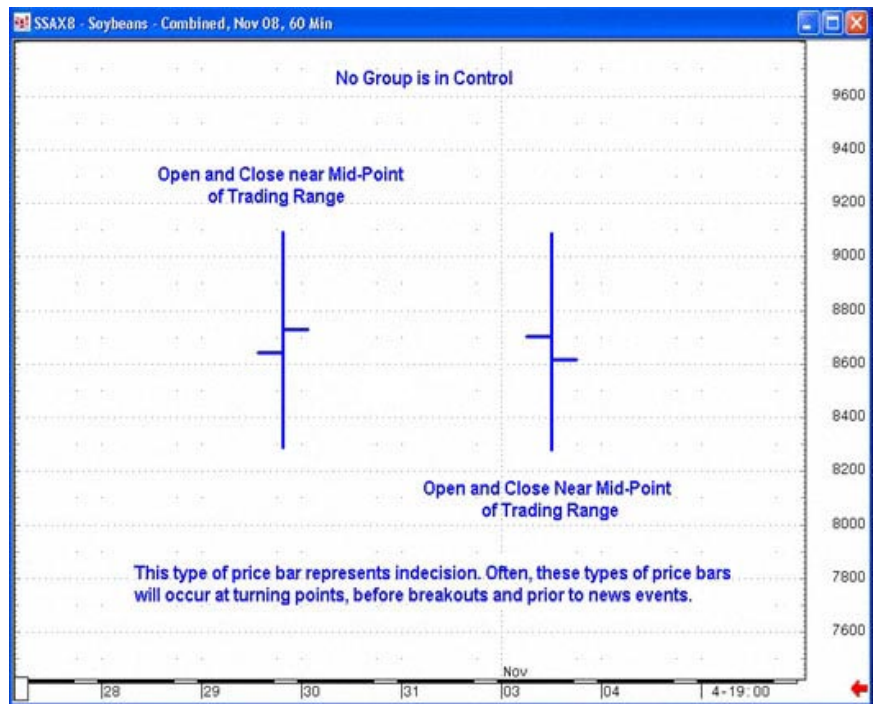


Figure 4-6

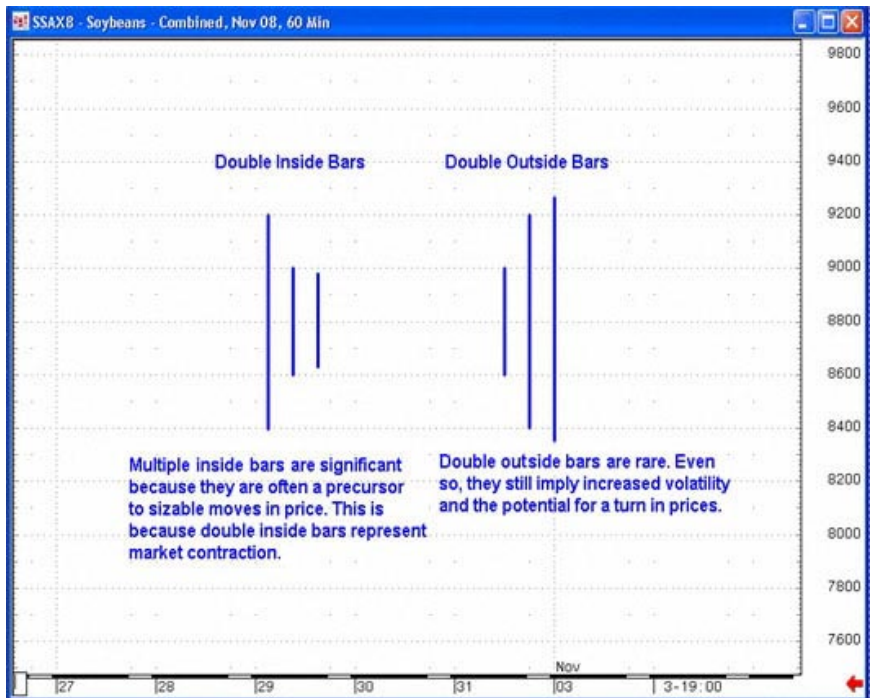
Now, let's move on to some multiple-bar patterns. One significant multiple price bar formation that tells a story is the inside bar (shown in the left-hand pair of price bars). The shorter bar, which is the inside bar, says that prices are pausing. The market is not doing much of anything, and the buyers and sellers have no conviction. In fact, you can almost cross out this kind of a price bar, provided it's the only one. The inside bar shows up most often within trending modes. For example, if the markets are trending to the upside, and prices want to take a rest for a period of time, an inside bar might form.

In the right-hand pair, the longer bar is called an outside bar. The high of the outside bar exceeds the high of the previous bar, and the low of the outside bar falls below the low of the previous bar. In short, the day's trading range encompasses the prior day's trading range. This type of price bar denotes volatility or capitulation in the market, and it often occurs at turning points, tops, and bottoms.

**Figure 4-7**

This chart shows double rather than single inside and outside bars. Although the double outside bar does occur (shown on the right-hand formation), it's rare. Still, if you should ever find two outside bars back to back, the message is the same: increased volatility. The outside bars show that the market is moving up and down in a big way. These types of price moves occur most often at significant turning points.

Double inside bars, on the other hand, occur more often. When you find two or more price bars encompassed by a large trading range, pay attention, because they represent market contraction. The best way to explain market contraction is to imagine a can of soda or pop that you've shaken up. Once you pop the top,

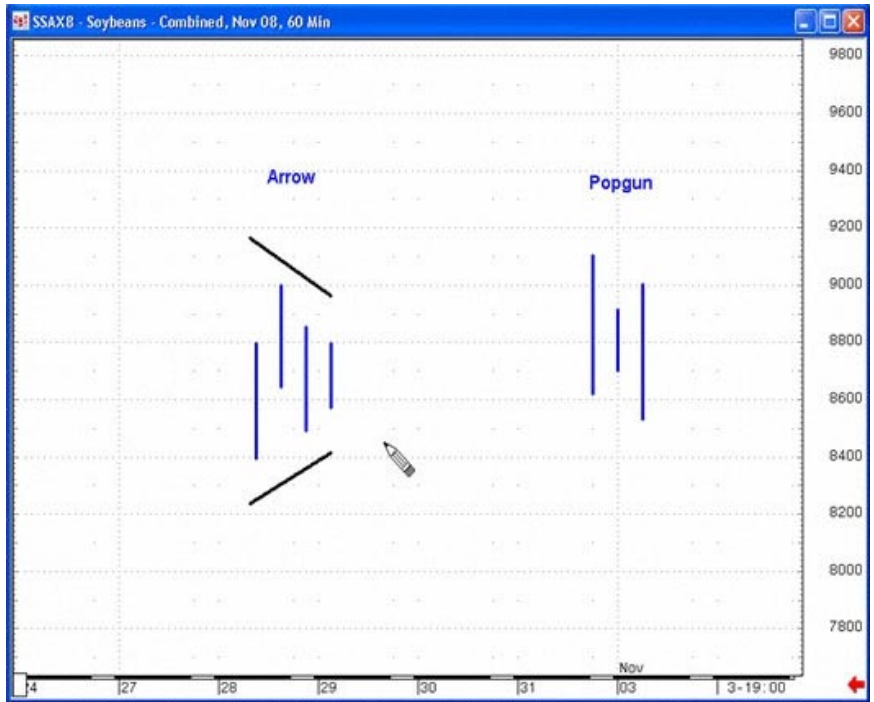


the contents shoot out. Shaking up the soda can represents market contraction. Popping the top and getting soaked represents market expansion. While the market is contracting in the double (or triple or quadruple) inside bar formation, there's no commitment either to the upside or to the downside. But at some point, the market will commit, and that's what you want to look for as a trading opportunity.

Figure 4-8

Over the years, I have identified two price bar patterns that are variations on the patterns we have just reviewed, which I have named the Arrow and the Popgun. I've written about them previously in the Trader's Classroom of my *Monthly Futures Junctions* newsletter.

The innermost bar of an Arrow (shown on the left) is an inside bar, which means that its high is below the previous bar's high while its low is above the previous bar's low. Notice that the bar next to the inside bar, which is called the number two bar, is encompassed by the combined range of the prior two bars. The second bar's high is below the previous combined high, and the second bar's low is above the previous combined low. This four-bar pattern is one that would serve you well to remember. I will explain it more in the next section when we start to apply our knowledge to actual price charts.

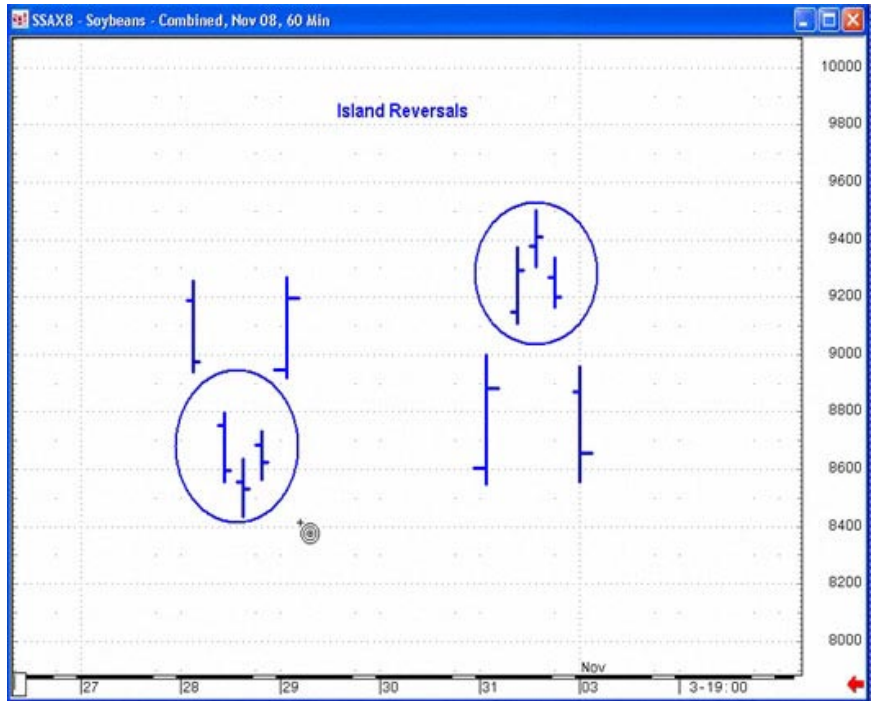


The Popgun (shown on the right) is simply an inside bar followed by an outside bar, so that the inside bar looks like a short bar between two longer bars. These multiple-bar price patterns are useful to recognize, because they lead to significant new moves in price. I have seen these multi-bar patterns on price charts time and time again, and they have resulted in tradable moves in price.

Figure 4-9

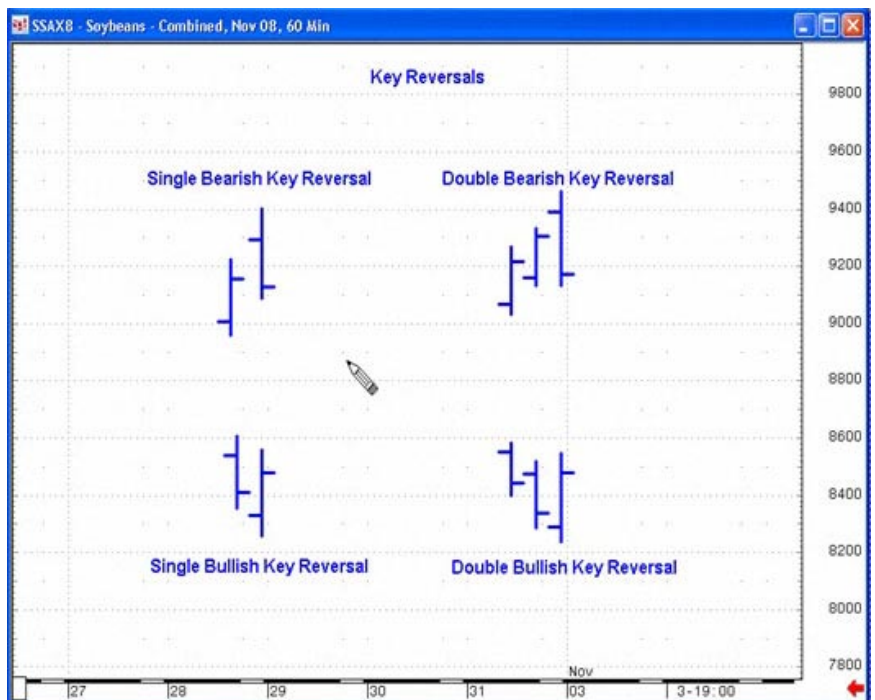
Now for a common, old-school multi-bar pattern, called an island reversal. Look at the blue bar on the left side of the graph (above the circled cluster of three blue lines). The space between the first bar and the cluster is called a gap to the downside. A few bars later, there is a gap back to the upside. This type of price pattern occurs at turning points, which is why we call them island *reversals*. They're called an island because the portion left outside of the trading range, or cluster, looks a bit like an island. The same island effect can be seen on the right side of the graph, with a gap first to the upside and then to the downside.

These price bars could be two-minute Dow E-mini price bars, S&P Mini price bars, or monthly price bars for Soybeans. It doesn't matter what the time frame is. How you read a price chart on the two-minute level is no different from how you would read it on the monthly, quarterly, or even annual level. Your chart-reading skills will help you know what to look for so that you can quickly and easily determine the direction of the trend. One of the core principles of technical analysis is that trends tend to continue, similar to the rule in physics that objects in motion tend to stay in motion. But there does come a time when markets reverse their trend, and you want to be prepared by being able to recognize multi-bar patterns, such as island reversals.

**Figure 4-10**

Here are four other common multi-bar reversal patterns, known as key reversals. This is old-school technical analysis. A key reversal occurs when prices make a new high or a new low. In a single bearish key reversal (top left), for example, prices make a new high above the preceding high but close below the previous bar's close. Conversely, in a single bullish key reversal, prices make a new low, but close above the previous close.

It's good to become familiar with the double versions of these key reversals. In a double bearish key reversal, prices make a new high, but the close is below the prior two closes. A double bullish



key reversal shows prices making a new low but closing above the previous two closes. These key reversals are all significant, but I rely more on multiple signals rather than just the single key reversals.

Figure 4-11

Now, let's see how these price bar patterns look on real price charts. Here's an example of the S&P 500 index in cash from 2007 through late 2008. You remember what had been going on in the stock market. The market had just been crushed. Now, without using any Elliott wave analysis or trend lines or oscillators, but simply reading the price chart, let's see what we find. Look what occurred at these two points that I've marked on the chart. Double key reversals warned that the market was going to move down. At minimum, they told you that the odds favored further decline at each double key reversal.

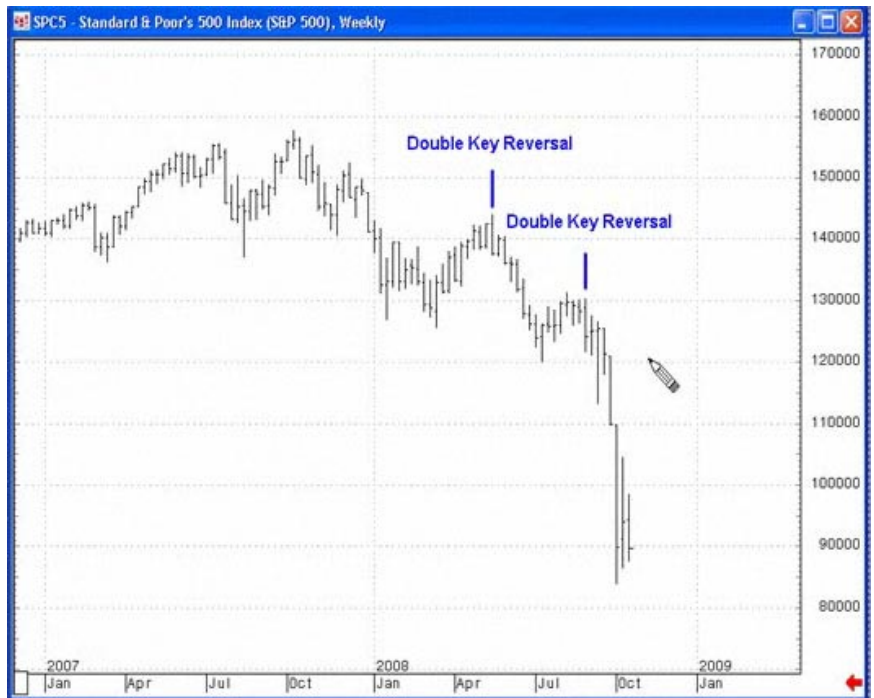


Figure 4-12

This chart of the Dow Jones Industrial Average over the same time period displays how the Popgun pattern works. Recall that it is simply an inside bar followed by an outside bar. In this instance, the Popgun occurred three days off the actual high in the Dow Jones. What happened following the Popgun? A series of lower lows and lower highs, indicating that the trend was down.

Including this chart is my way of pointing out that even though some of these patterns may seem simple and some of the information so rudimentary, it's still important for you to grasp it. Why? Because the ability to read a price chart and its signals can be rewarding for active traders.



Figure 4-13

On this EUR/USD Euro chart, I've marked a multiple inside pattern that has a number of price bars occurring within the range of a single bar. First, the multiple inside bars occur, and then there is a nice move to the downside.



Figure 4-14

The Arrow formation on this S&P daily chart also indicated a move to the downside. Remember that the Arrow has four price bars, the last one being an inside bar. The Arrow's number two bar is encompassed by the range of the previous two price bars.



Figure 4-15

These patterns work on more than daily or weekly price charts. For instance, here's a chart of the E-mini Dow, five-minute Futures. I've marked the Popgun that signaled a move to the downside.

Double inside price bars (two price bars contained within the range of one) occurred later in the trading day. Both these double inside price bars led to a move up to the high. Notice, too, that prices tested the previous high, where they encountered the natural resistance that we learned about earlier.



Figure 4-16

Here is an even more exciting picture on this one-minute chart of the E-mini NASDAQ. Look at the double key reversals, pointing to the downside and then to the upside. What's the trend of this move? There is a series of higher highs and higher lows throughout the structure, so it's an uptrend.

Combining our multi-bar patterns with our earlier chart-reading, we can also see that the previous swing low is a key level. When prices penetrated that level (marked by the dashed blue horizontal line), they spoke clearly: "Something's wrong. Something's afoot. Protect open profits. Raise stops. Be proactive!" Then prices took out the second level (the critical level, marked with the solid horizontal blue line just below the key level), and the trend became a strong downtrend. All this action happened on a one-minute price chart.



Figure 4-17

Look at these price bars, particularly the ones marked with blue lines. Notice that the opens and closes are either at the mid-range of the price bars or toward the lower portion of the price range. These price bars tell you that nobody is in control of the market. It's almost as if the market is vamping, waiting for someone to take the lead. However, when the market does figure out who's in control, you can surmise that it will move nicely. In this case, the E-mini Nasdaq 100 market moved nicely to the downside.



Figure 4-18

In the circled area on the E-mini NASDAQ chart, you will see the “spinning top” or “doji” formation that candlestick enthusiasts may be familiar with. I have explained these in more detail at Figure 4-4.



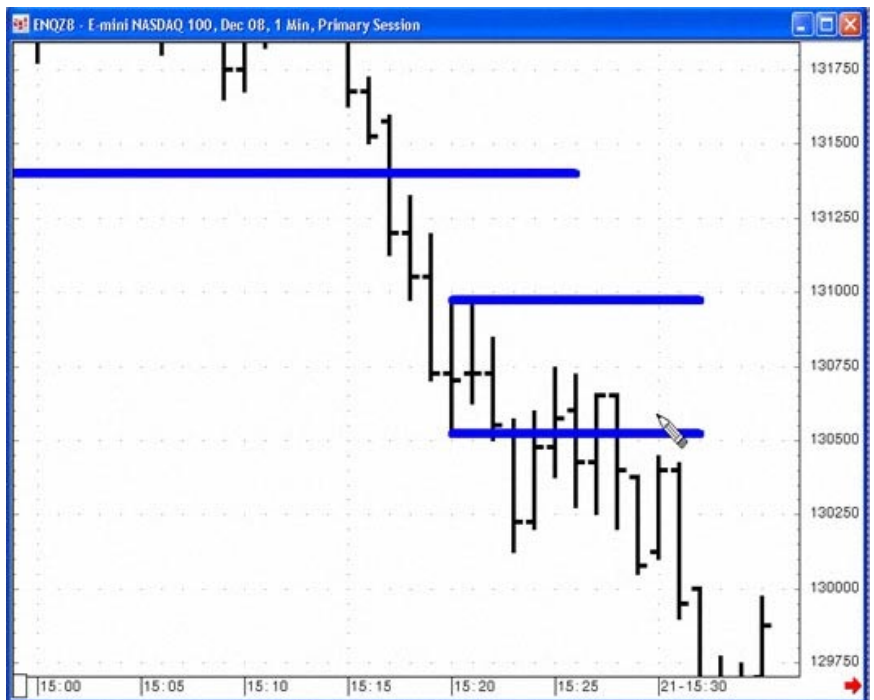
Figure 4-19

Moving along on the E-mini NASDAQ, look what happened. The marked price bar shows where the open equals the high. That means the bulls have no control in this market. The bears are in control and the market continues to push lower.



Figure 4-20

The market keeps closing below the open — a perfect example of a downtrending market. But when the open and close are very near one another near the mid-range, we know that signifies a pause in the action. It's indecision. The big question is, will the market go down again? In fact, it does. Then it bounces back into the previous point of indecision.



Now that we have gone over basic trend analysis, key levels, support and resistance, and single- and multi-bar patterns, let's move on to the next section, where we put it all to work on more price charts.

Chapter 5

How To Apply the Analysis to Price Charts

In this last section, we will learn how to apply chart-reading more proactively as a trader. To refresh your memory, the first three steps before trading are:

1. Identify the **trend**.
2. Map out the natural areas of **support and resistance**.
3. Zero in on the substructure of the **price bars**.

Figure 5-1

For instance, look at this schematic drawing in Figure 5-1 for an idealized view of trend analysis. Elliotticians know this pattern to be an impulse wave made up of five waves: the market moves up, pauses, moves up, pauses, moves up again. Then the market begins to move down as it changes trend.

Whenever the market is in that consolidation or corrective phase, that's when to begin using single-bar price analysis to fine-tune the broader analysis. Trend analysis shows which direction the market is moving (marked with a diagonal line). Support and resistance analysis shows the likely area where a pull-back will come down to and terminate at (marked with the top horizontal blue line). In real time, single-bar and multiple-bar price analysis zeroes in on when and where the actual low will be located (marked with the bottom horizontal blue line).

The open and close of the second price bar inside the blue circle are very near one another at the mid range. That shows indecision, which is common at a turning point. Then there is a push to the upside with the third price bar. This one closes above the previous two closes, above the midpoint of the range. It's a nice indication that the next move is going to be back to the upside.

That is essentially how you apply the information you have learned so far in this chart-reading course. Now, let's look at some examples to see how you actually trade on this information.

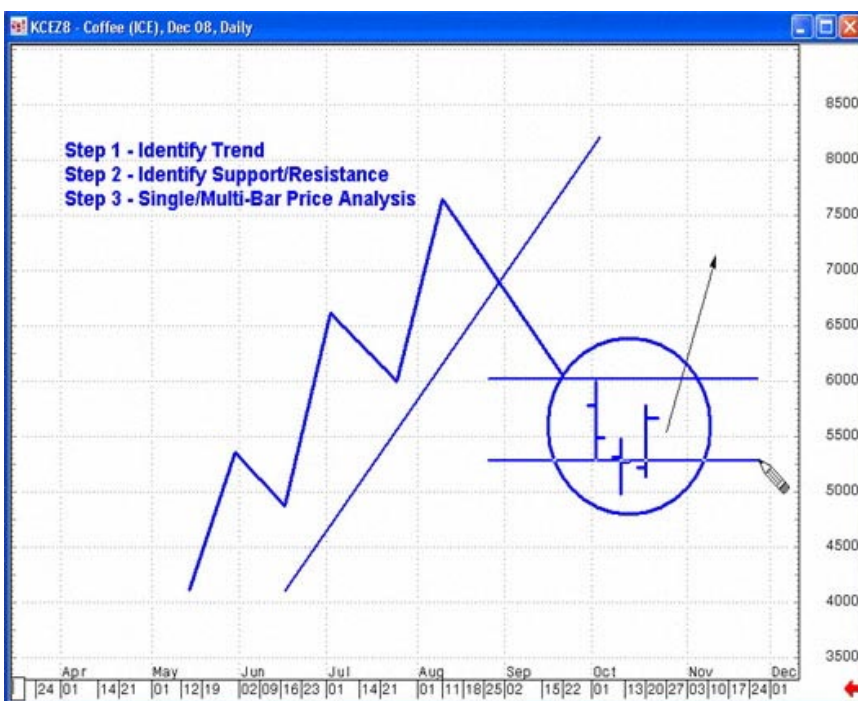


Figure 5-2

For our first example, we will look at a pattern of multiple inside bars on a price chart. I have diagrammed these price bar patterns schematically because it makes no difference whether they occur on a one-minute price chart, a weekly, or a monthly price chart.

In this pattern, there are three or four price bars that are encompassed by the main price bar on the left. Once you can see this kind of multiple inside bar pattern as you read a chart, your next big question is, how do I trade it? Here's how, according to my guidelines.

Once prices close above the high of the bar that encompasses the subsequent bars, then you have a green light for the buy side. I will refer to this bar that closes above the previous high as either a *setup bar* or a *breakout bar*. This type of action is called a multiple inside bar long setup.

To trade this setup, you simply enter on the next bar. You place your initial protective stop at a low of the bar preceding the setup bar. In other words, as soon as you see an initial close above the high, that's the green light to go long and initiate the trade on the next period.

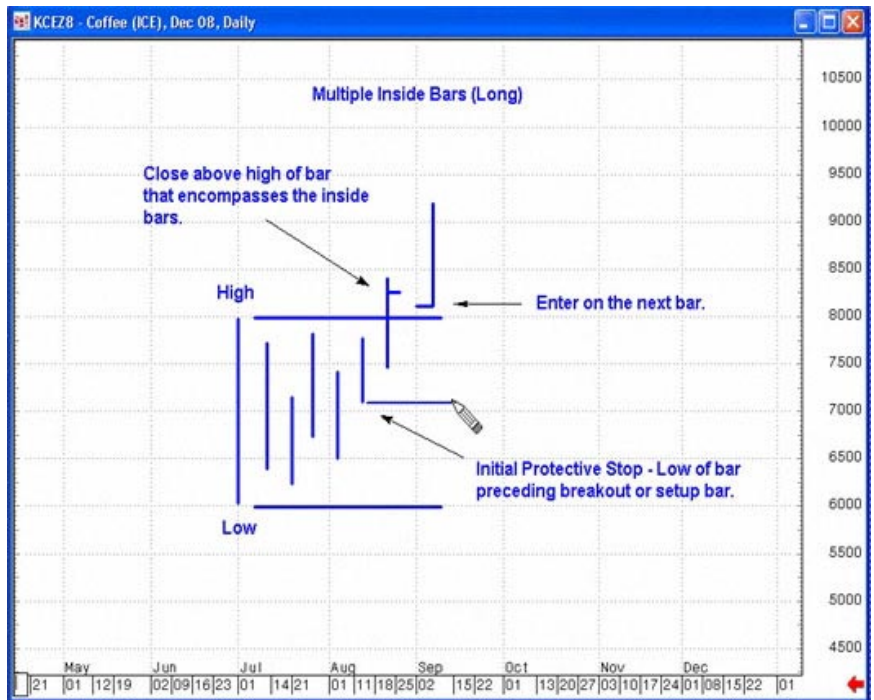


Figure 5-3

Here's the same setup, but in reverse for a short trade. This is called a multiple inside short position. The price bar on the left encompasses a number of price bars that follow it. As soon as you see the initial close below the low, that's the green light to take a short position if the larger trend is down. Enter on the next bar and set your initial protective stop at the high of the bar preceding the breakout, or setup, bar.

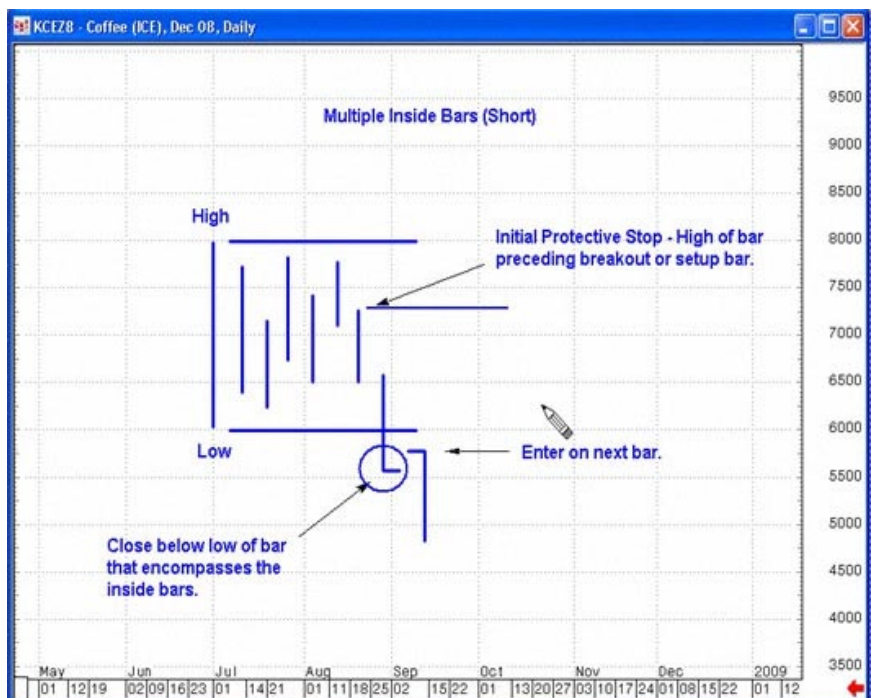


Figure 5-4

Here's an example of trading multiple inside bars on an actual price chart — this one is the e-mini NASDAQ 100. At the top of the chart, I have marked the range of one bar, which tested the previous high. The following three price bars were contained within the range of the first bar. The fourth price bar was the first to close below the low of the bar. This is a short trade setup. So once prices close below the previous low, you could take a short position in this market. Remember that the high of the bar preceding the breakout is where to put your initial protective stop. As you can see, the market then sank for the rest of the day.

**Figure 5-5**

One of the best things about double key reversals is that they occur often but not too often. That means that they can slow down your trading and, at the same time, provide a higher probability pattern to work with. A double key reversal occurs when markets make a new low below the previous bar but the close of that bar is above the prior two closes. Once you see a double key reversal developing, look to go long on the next bar and make the low of the key reversal bar your protective stop.

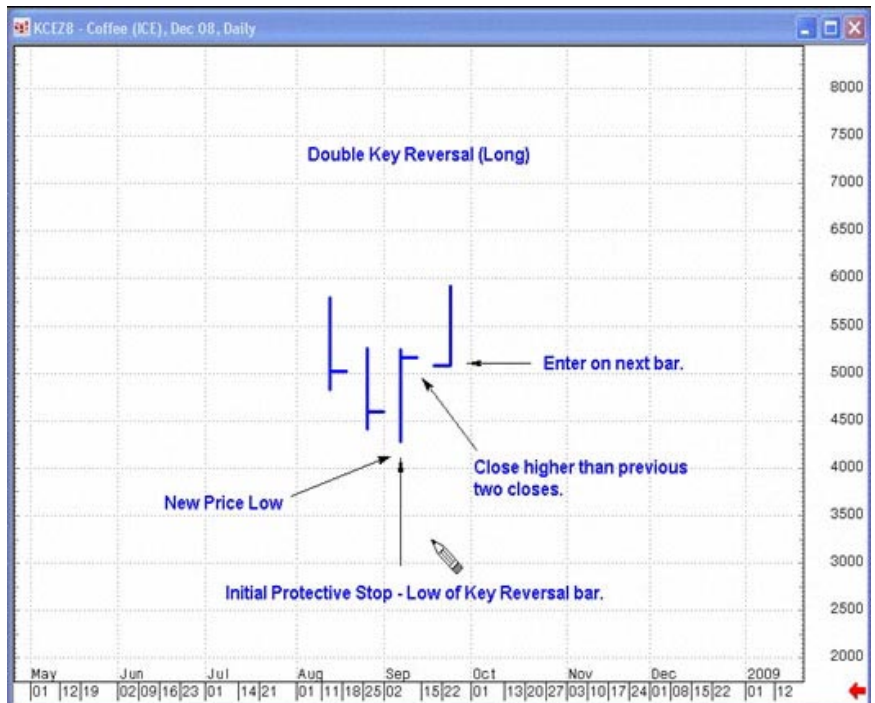


Figure 5-6

The same technique works for a double key reversal short. Prices make a new high above the previous high, but the close of the bar is the lowest close of the three price bars. That's a signal to sell the open while placing the protective stop at the high. (Some people like to give it a few more ticks, but at the high is fine with me.) That's how to put what you've learned into action and take advantage of this price pattern setup from a trading perspective.



Figure 5-7

This example of a double key reversal on a chart of the British Pound Index shows prices making a new high above the preceding high but managing to close below the prior two closes. That's a double key reversal.

You have two options on how to trade it. Number one, as soon as the key reversal forms, you could go short against the high, and enter on the next bar with a protective stop at the high. Or you could wait until you have confirmation, which would be a close below the low of the key reversal bar, and then enter at that point again with a stop at the high.

This chart also shows a Popgun on the left side, marked by a blue vertical line, and a move to the downside.

You also can see a short-term uptrend, with higher highs and higher lows going into the double key reversal. I have marked the previous swings with horizontal blue lines to show the key level and the critical level. Once prices penetrated that critical level for the second time, it signaled that a new trend was under way to the downside.

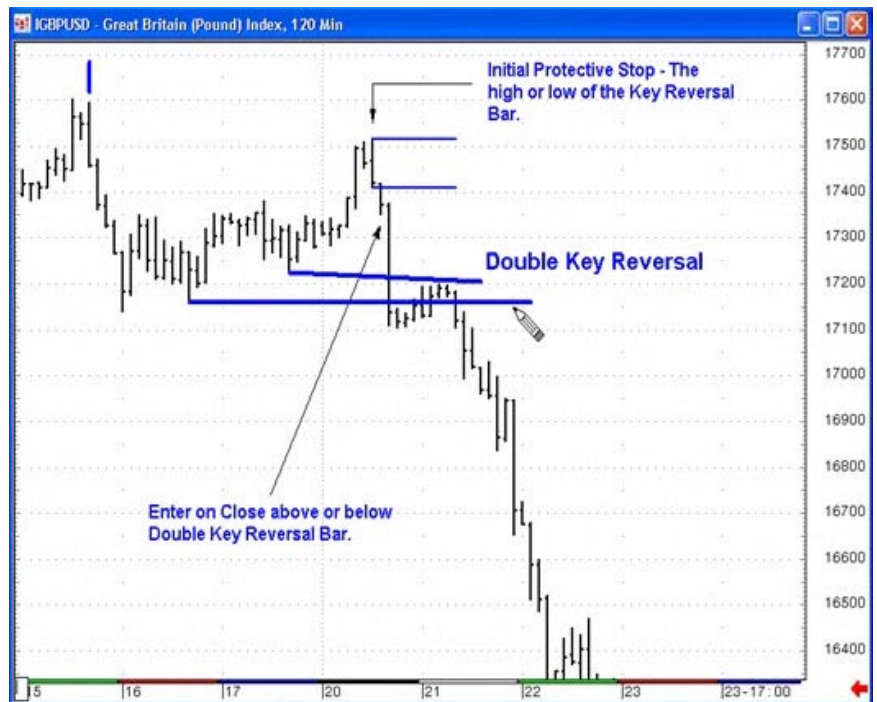


Figure 5-8

Let's look more closely at my guidelines on how to trade a Popgun. This example shows how a bullish Popgun setup would look on a price chart. First, there is an inside bar followed by an outside bar. Then comes a close above the high of the outside bar (marked with a black arrow and text). Once that breakout appears, that's your green light to institute a trade. Enter your trade on the next position and put your initial protective stop at the low of the outside bar.

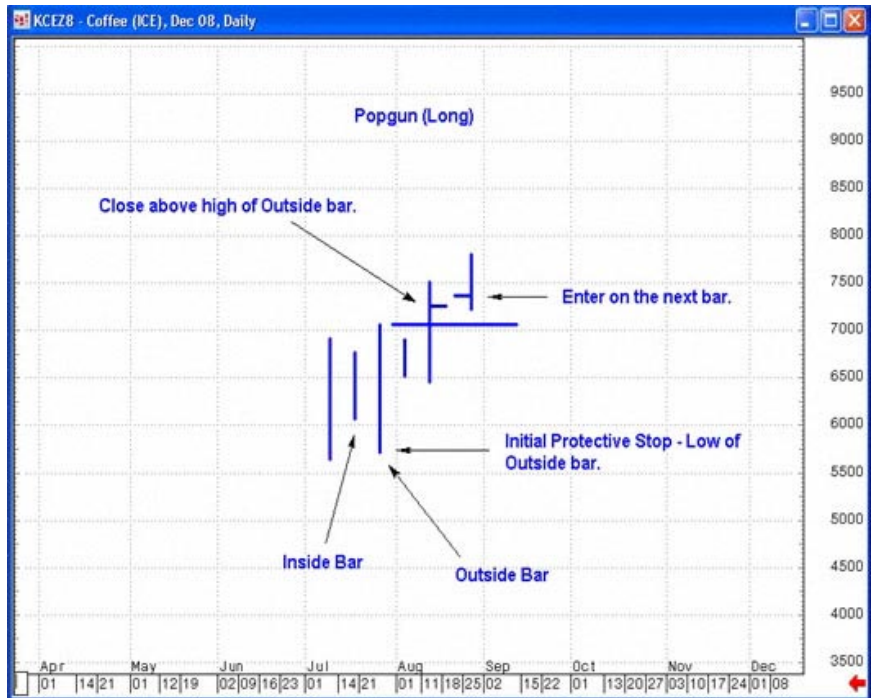


Figure 5-9

Here is a bearish Popgun setup. You can see the inside bar, outside bar, and first close below the low of the outside bar. That's the green light to initiate a position on the next period. You will place your initial protective stop at the high of the outside bar. It's all very simple.

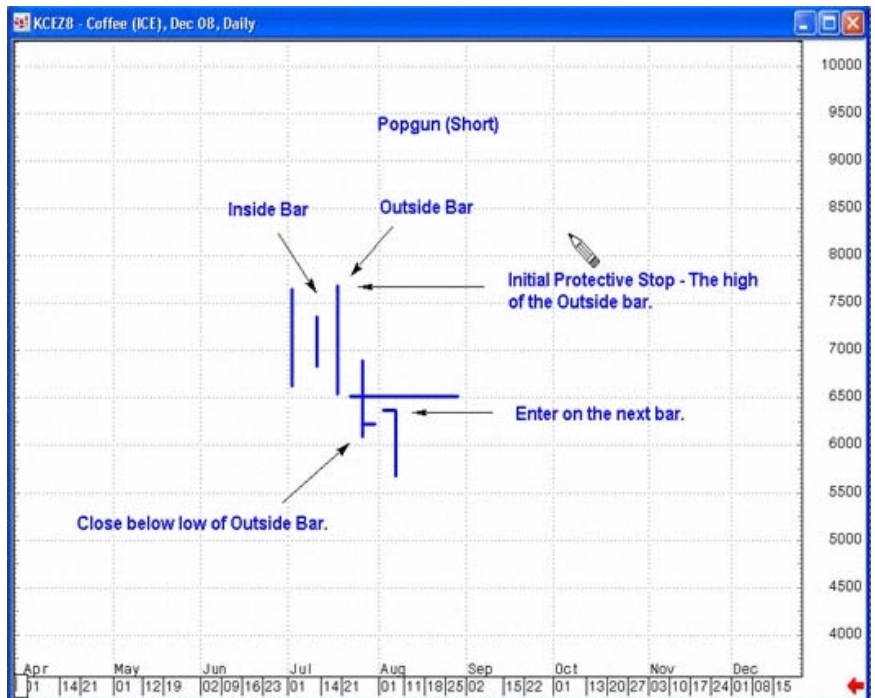
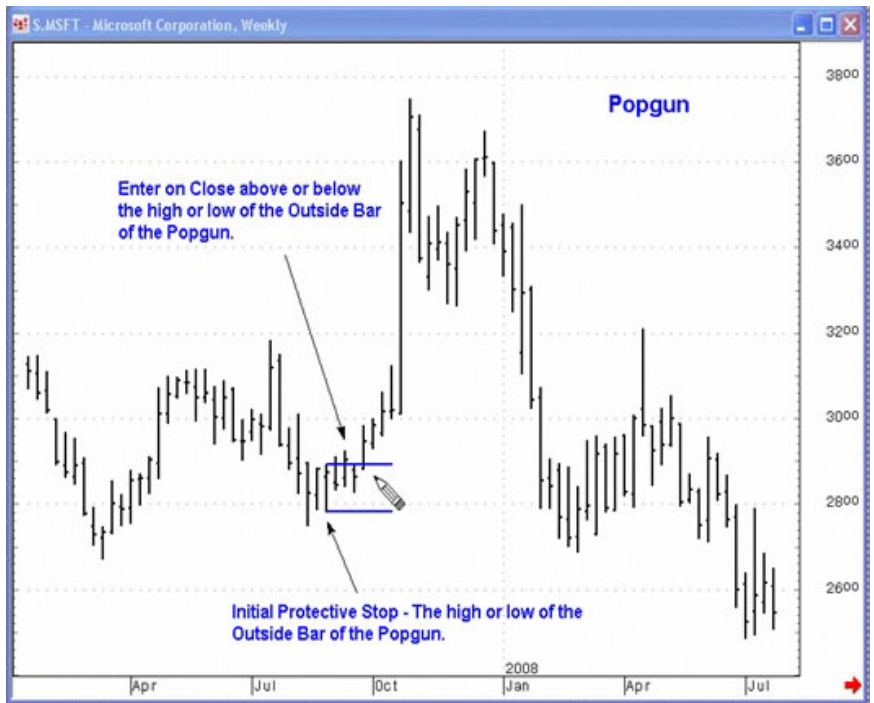


Figure 5-10

For a real-chart example, here is a Popgun in Microsoft. There is a small move to the downside. You can see an inside bar followed by an outside bar. As soon as there is a close above the high of the outside bar, that's when to initiate the trade while placing your initial protective stop at the low of the outside bar.

Now to create more confidence in this trade setup, let's look more closely at some of the individual price bars. Notice that the open and close of the marked outside bar are in the upper third of the range of the bar, possibly even the upper 20 percent. At one point, then, the bears were able to push the market down, but the bulls took control back from them. In the following bar, the open and close are very near one another but to the low side. Combined with information from the previous bar, that suggests indecision in the market at this point.



The next morning, prices gap up on the open a little bit and push higher. Notice the soft gap to the downside followed by a soft gap back to the upside. The distance between the high and the open and the high and the close is in the upper third of the price range. This means that the sellers don't have any control in this market, even though the close was not above the open. So even the single-bar price analysis was helpful in identifying this move.

Lastly, by following the pop gun guidelines for entering the trade, we would have been rewarded, since we would have entered at about 29 for a move up to nearly 38 over the next few weeks.

Figure 5-11

Here are my guidelines for trading an Arrow on a price chart. If you recall, Arrows rely on an inside bar that is part of a four-bar pattern. First, there is an inside bar (bar one) encompassed by bar two, which, in turn, is encompassed by the combined range of bars three and four.

How do you trade this Arrow pattern? On the buy side, once you see the Arrow form, you look for a close above the high of bar four. Your plan is to go long on the following bar, and you will set your initial protective stop at the low of the inside bar, bar one.

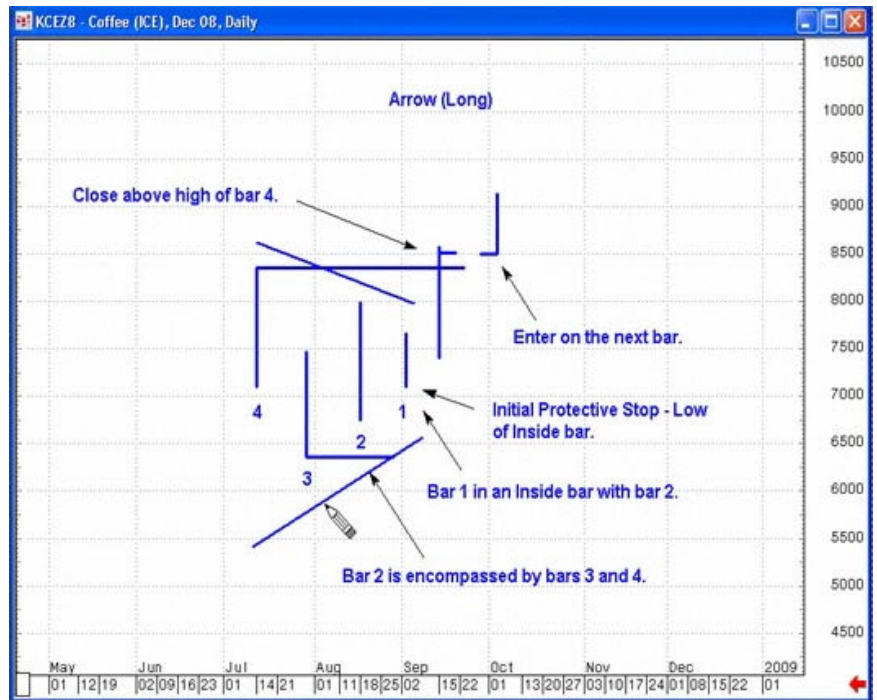


Figure 5-12

The same rules apply in reverse with regard to short decisions. Once you see the close below bar three, that's your green light to enter a trade on the next bar, placing your initial protective stop at the high of the inside bar, bar one.

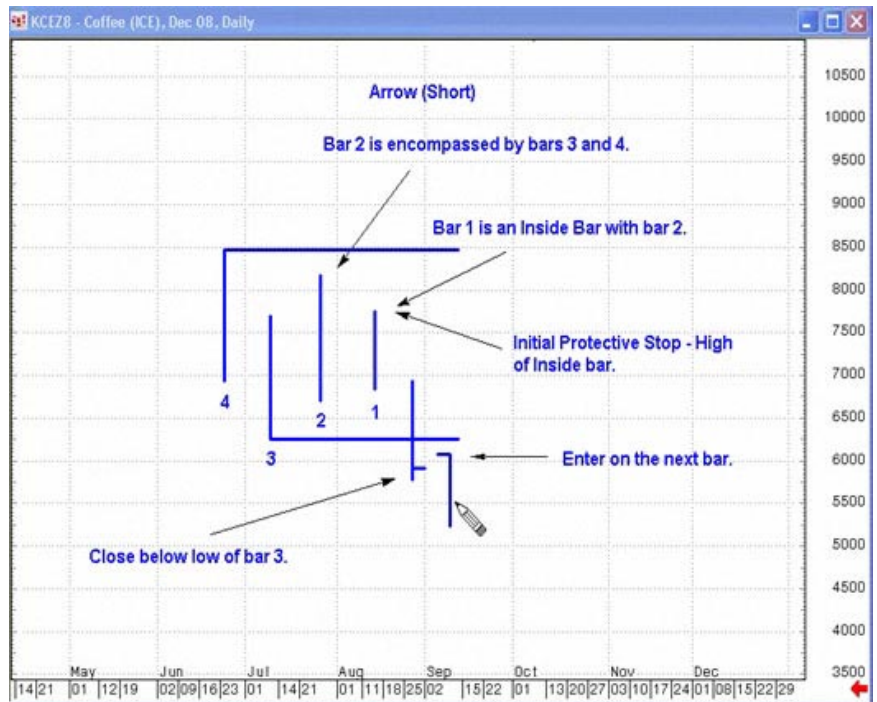


Figure 5-13

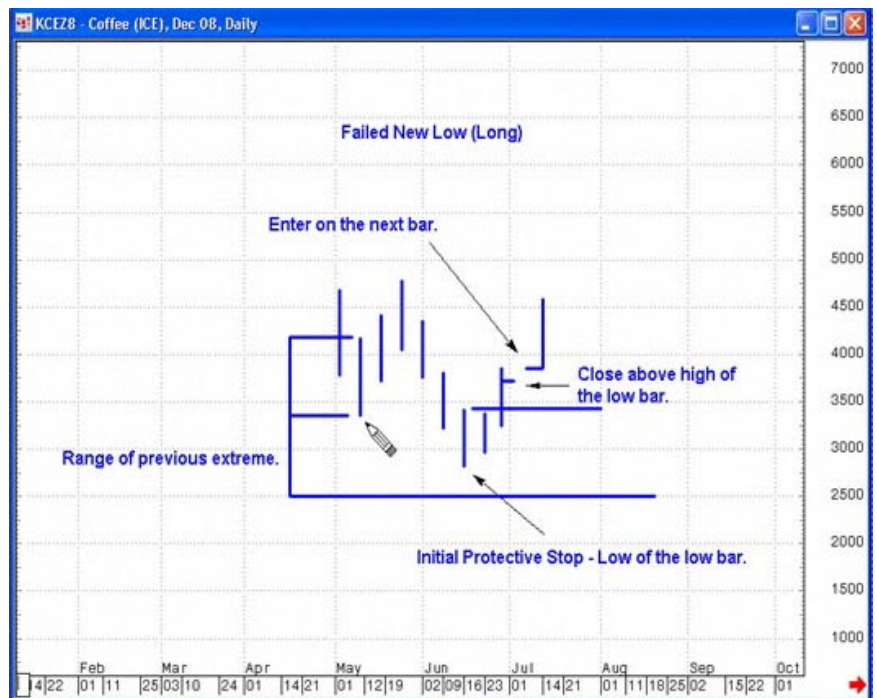
Here's an example of an Arrow on the S&P daily price chart. There is the inside bar, bar one. Bar two is an inside bar against bars three and four. When prices close clearly below the low of bar three, you would look to initiate your position. Your stop would be the high of the inside bar, bar one. The prices moved down. However, this example may not be the best, because the risk on this move would probably be quite huge and violate most money management rules.

**Figure 5-14**

Let's move on to a category of bar patterns that I call failed new lows and show you how to take advantage of them from a trading perspective. The reason I call them failed new lows is that prices come down, make a new low, bounce, and then make another moderate new low.

Look at Figure 5-13. Prices yield a low (marked by the pencil symbol), then they push up and come back down to yield the lower low. I have shown earlier examples of how oftentimes prices will push up to a previous high in counter-resistance and then pull back. These guidelines are designed to take advantage of that tendency in the market.

To trade this kind of retest, take the range of the price bar of the previous low. Let's say it's five points. Then subtract that number from the low of the bar. This gives you a range. If prices are going to reverse back up, and if this low level is indeed going to provide support, then it should do so within the range that you have identified. A few bars later, there is a close above the high of the low bar (marked with an arrow and text). That means odds are starting to look like markets are going to move up.



You might join the trade on the next bar, placing the initial protective stop at the low of the low bar. This is called a failed new low. These trade setups occur within the range of a price bar above or below the highest high or the lowest low.

This trade setup is tricky, so let me explain it one more time. Prices come down and make a new low. The range of the bar is five points. You then subtract five points from the extreme and that gives you a zone. If prices push into that area and then begin turning up (specifically, closing above the high of the low bar), then it's worth looking at for a trade.

Figure 5-15

Here is the same type of setup, but to the short side. Markets hit a high, and then prices come down. Then prices push back up and make a new high. (Again we'll assume that the range of the bar is five points). So you take the five-point range and add it to the high. That gives you your zone. Now, if prices were to push beyond that range, I would stand aside, because it means that something else is going on. But if prices move into the range and then begin turning down, closing below the low of the high bar, then that's a green light to take a short position. Enter on the next bar and place your initial protective stop at the high of the high bar.

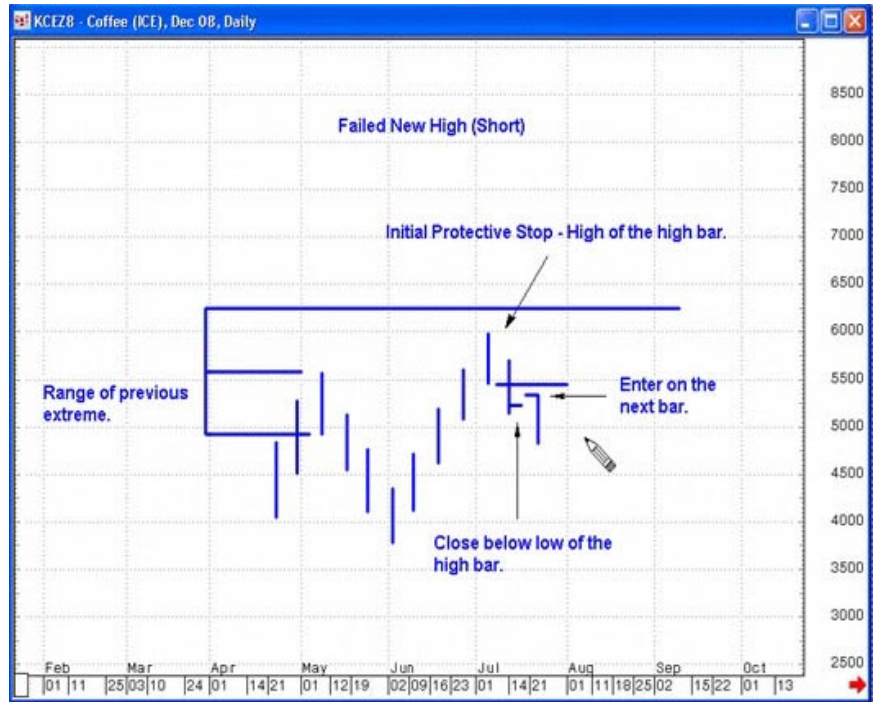


Figure 5-16

Here is an example of such a setup on a five-minute Dow mini chart. The first low is marked with the center horizontal blue line. The range of the low bar is marked with the bottom horizontal blue line. Prices pushed down into the zone; then they pushed up and closed above the high of the low bar. That price action sets up a trade to go long with a stop at the low (marked with a black arrow).



Figure 5-17

There is one other pattern I would like to show you that helps you to identify natural support and natural resistance on a price chart. I call it The Zone, and it works similarly to the previous failed-new-high, failed-new-low technique where we looked at the range of the bar to identify a zone.

On the chart, prices push up, come down, push up again, and then pull back. They pull back into the range of the low bar of the preceding move to the downside. As soon as prices close above the range, that's a green light to go long and take your position on the following bar. The low of the previous range would be your initial protective stop. This is a long trade.



Prices don't quite make it to the low, the area of support, but they definitely make it into the range of that low price bar. That's where you look for a reversal to occur. This guideline teaches you to take advantage of that opportunity.

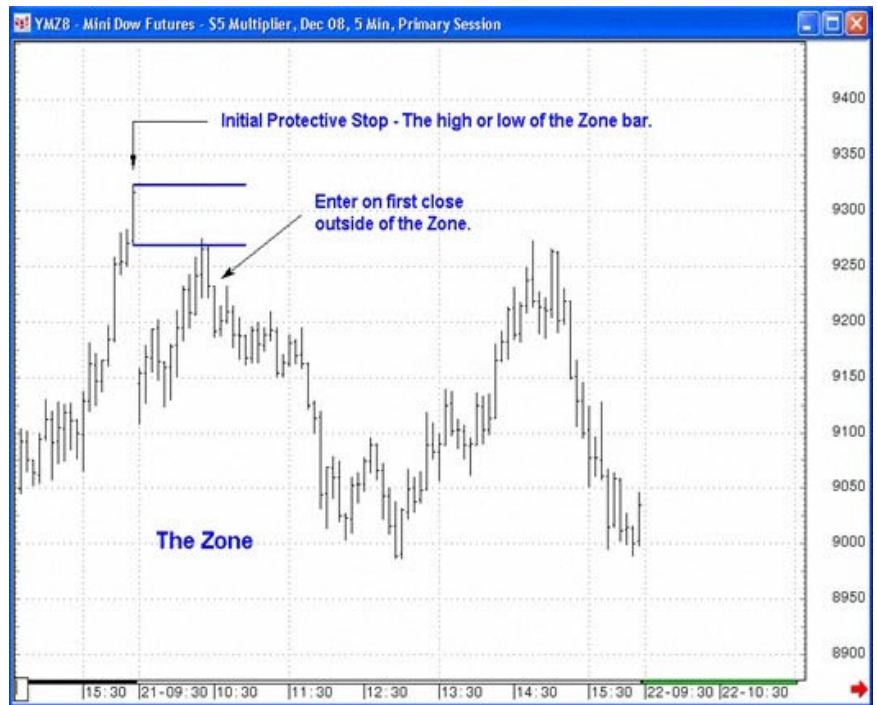
Figure 5-18

This pattern to the short side works similarly. Markets hit a high, and then prices come down and push back up. They don't give us a failed new high bar pattern, but they do push back into the range of the high bar. Then you see the sign: prices close below the low. You would enter on the next bar with a stop at the high.



Figure 5-19

Here's a final price chart of mini Dow futures, showing a trade setup with The Zone. First, you see the extreme or the high and then you create The Zone. Then prices push up into this range; When prices close below the low of the range, that's your signal to go short and place your stop at the high. Notice that prices did turn down.



Summary

This course on chart-reading and price-bar analysis has taught you a number of ways to take advantage of high-probability trade setups based on single-bar and multiple-bar patterns.

Now you know how to identify the trend. Whenever the trend pauses, you can find the areas of natural support and natural resistance that prices are likely to come back and test. When performing single- or multiple-bar price analysis, you can pinpoint the termination points of the countertrend moves within the larger trends. And with the guidelines I've given you on how to initiate trades, you now know where your entry points and exit points are, and where to place your initial protective stops.

If you simply learn to read a price chart and are able to interpret what it's trying to tell you, you will be able to take advantage of high-probability trade setups without any fancy technical studies. A price chart in many ways is like a newspaper, and if you know how to read it properly, it can tell you the whole story about a market. You can even interpret the message a single price bar is telling you. If you continue using these techniques and enhance them with wave analysis that Elliott Wave International teaches, you will be able to stack the odds in your favor even more.

Chapter 6

Questions and Answers

Q: Do you start with a longer time frame to confirm the larger trend or do you look for a confluence among many time frames?

A: I first get an idea of my time perspective – is the position I’m taking one of a trader where I’m short term? If I’m a day trader, I’m looking for a move that may last only 5 or 15 minutes. But if I do only one or two trades a day (for example, if I were trading the e-minis), then I would look at a longer term chart.

My time horizon as a trader determines the time frame of the chart I look at, and that price chart will then tell me what the trend is and the story of how to trade.

Q: Are you drawing soft-gap resistance from the close?

A: Yes, I am. With regard to a price gap, the level I consider to be most significant is the close of the bar preceding the gap up. If it was to the downside, it would be the close of the bar preceding the gap down.

Q: Which one of the EWI video courses shows how to use Elliott waves to analyze a chart you’ve never seen before?

A: You can learn the basics of the Wave Principle from an online video called “On-Demand, Online Course: The Basics of the Wave Principle.” Another great resource from Elliott Wave International is the series called “On-Demand, Online Course: How to Use the Elliott Wave Principle to Improve Your Options Trading Strategies — Course 1, 2, and 3.” They are all available at www.elliottwave.com.

Figure 6-1

But let me also give you an example of analyzing a chart based on the Elliott technique. First, let’s pull up a random stock chart — since I’m the commodities guy at Elliott Wave International, I’ve never seen this chart before, but waves are waves no matter which chart you read. This is a daily stock chart of Grainger Inc.

Now from an Elliott wave perspective, where do you begin? It's best to begin with extremes and to find what you recognize. You can trace the moves: up, down, and up again in the three waves I've marked in blue. Look at this move as an A, B, C, often called a countertrend structure.

One of the techniques I use as I analyze commodities for Daily Futures Junctions is something I call a corrective price channel. It's not orthodox Elliott wave analysis, which usually draws trend channels for five-wave structures, but I have found that countertrend, or corrective, price action also tends to stay contained by parallel lines. So, first I draw the parallel lines off of the extremes and then I add the midpoint of the corrective price channel, which is marked with a blue diagonal line. Essentially, the way I would view this price action here would be simply that once the move past A, B, C takes out the lower boundary line of the price channel (marked with a horizontal blue line), that was a big indication that something was going on.

And if we go back to what we've learned in this course, once you break that series of higher highs and higher lows, that's usually your early warning signal that the market is not doing what it should be doing. Also, you can see two attempts to make a new high that failed (marked with two blue vertical lines).

I can postulate that this chart is a portion of a larger three-wave move, or countertrend move, and that the larger trend is going to be down, because of the series of lower lows and lower highs.



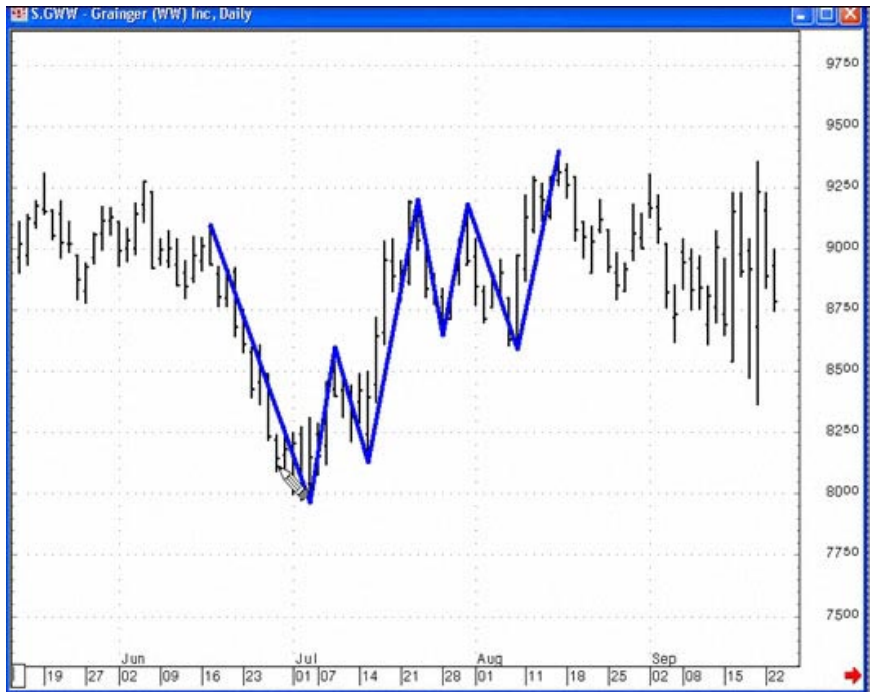
Q: Where can I find out more about how to use price gap opportunities in the market?

A: You may want to take a look at the webinar I did on price gaps. It's called "On-Demand, Online Course: Jeffery Kennedy's How to Trade the Highest Probability Opportunities: Price Gaps." This is available online at Elliott Wave International's website, www.elliottwave.com. You will see something that I can promise you you've never seen in a book anywhere. That webinar shows some of my own work.

Q: With regard to the swings of a price chart, how do you calculate ups and downs?

Figure 6-2

I use a big-picture visual where I draw in the major swings that look distinct and have some breadth. I usually ignore small moves up and down that don't fit into the other moves proportionately. And there's no need to separate tiny changes, particularly if they aren't counter-trend moves of any size or duration within the structure. So the swings that I would be looking at are the ones that you can easily and clearly trace out.



Q: When day-trading Dow or S&P minis using Arrows, Popguns, and double reversals, do you get similar results using one-, two-, and five-minute charts?

A: One-minute charts are so much faster than five-minute charts. However, I tend to like the five-minute chart better, because it takes five single one-minute bars to make up that five-minute chart. So if I saw an Arrow, a Popgun, or a double key reversal on a five-minute chart, I would put more value in those formations than if I saw them on a one- or two-minute chart.

Everything that you have learned in this course is applicable on the one-minute charts, but think about this: If you get a one-minute trading signal, it may lead to only a five- or an eight-minute move, whereas a signal that occurs on a five-minute chart may yield a 25-minute move or a 40-minute move in price.

Q: How many inside bars are required for the “multiple inside bars” to be valid?

A: I like to see no less than three price bars for the multiple inside bar setup.

Q: How precise is your definition of inside and outside bars? With regard to inside and outside bars (that is, Arrows and Popguns), do you take these trades on a new price extreme, or can the price be equal to the prior bar's high/low?

A: I want to see new price extremes only. It can't be equal to a prior bar's high/low.

Q: Once you find a bar pattern, do you immediately do a trade?

A: I believe that the bar patterns I outline in my course are robust enough to trade by themselves. Even so, I do like to examine Elliott wave patterns and additional technical studies in order to build a stronger case for a position. For example, if a bullish Arrow is forming, the operative wave pattern is that of a triangle and indicates a signal that the larger trend is up, increasing the probability of a successful trade.

EWI eBook

How To Trade the Highest Probability Opportunities: Price Bars and Chart Patterns

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Published by New Classics Library

For information, address the publishers:

New Classics Library
Post Office Box 1618
Gainesville, Georgia 30503 US

www.elliottwave.com

ISBN: 978-0-932750-98-3